

IN THE COUNTY COURT OF THE TWELFTH JUDICIAL CIRCUIT
IN AND FOR MANATEE COUNTY, FLORIDA
COUNTY CIVIL

COLONIAL MANOR MHC HOLDINGS, LLC,
Plaintiff,

vs.

Case No.: 2025-CC-3916

WANDA D. CONNELL, QUENTIN JULIAN
CONNELL and ANY UNKNOWN
PARTY(s) IN POSSESSION,
Defendants.

NOTICE OF FILING CASE LAW

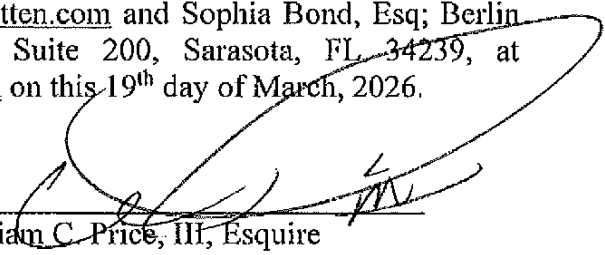
COMES NOW, Plaintiff, COLONIAL MANOR MIIC HOLDINGS, LLC, by and through their undersigned attorney, hereby gives notice of filing the following cases relating to the above referenced matter, to-wit:

1. Custer Med. Ctr. v. United Auto. Ins. Co., 62 So. 3d 1086 (Fla. 2010)
2. Wolowitz v. Thoroughbred Motors, Inc., 765 So. 2d 920 (Fla. 2d DCA 2000)
3. Midland Trust Co. v. Whitfield Ests., LLC, 2024 Fla. Cir. LEXIS 2154; 2024 LX 157808
4. Reno v. Adventist Health Sys./Sunbelt, Inc., 516 So. 2d 63 (Fla. 2d DCA 1987)
5. Derouin v. Universal Am. Mortg. Co., Ltd. Liab. Co., 254 So. 3d 595 (Fla. 2d DCA 2018)
6. Frisco v. State Farm Fla. Ins. Co., 50 Fla. L. Weekly D2563 (Fla. 2d DCA December 3, 2025)

These documents shall be made a part of the Court file, and are filed to be used at a hearing, trial, or any other purpose for which it may be used under applicable laws of the State of Florida. Specifically the above cases are in support of Defendant's Response in Opposition to Plaintiff's Motion to Strike, which is being heard on March 20, 2026 at 3:00 p.m. in front of Honorable Rence Inman, via ZOOM Video Conferencing.

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that a true copy of the foregoing Notice of Filing Case Law has been furnished in accordance with Florida Rule of Judicial Administration 2.516 to: Tyler A. Dixon, Esq., Berlin Patten Ebling, PLLC, 3700 South Tamiami Trail, Suite 200, Sarasota, FL 34239, at tdixon@berlinpatten.com and gcare@berlinpatten.com and Sophia Bond, Esq; Berlin Patten Ebling, PLLC, 3700 South Tamiami Trail, Suite 200, Sarasota, FL 34239, at sbond@berlinpatten.com and eservice@berlinpatten.com on this 19th day of March, 2026.



William C. Price, III, Esquire
Florida Bar No. 0333824
WILLIAM C. PRICE, III, P.A.
522 Twelfth Street West
Bradenton, Florida 34205
Telephone: (941) 747-8001
Facsimile: (941) 747-3730
Pleadings@wcpricelaw.com
Attorney for the Plaintiff

Custer Med. Ctr. v. United Auto. Ins. Co.

Supreme Court of Florida

November 4, 2010, Decided

No. SC08-2036

Reporter

62 So. 3d 1086 *; 2010 Fla. LEXIS 1860 **; 35 Fla. L. Weekly S 640

CUSTER MEDICAL CENTER a/a/o MAXIMO MASIS, Petitioner, vs. UNITED AUTOMOBILE INSURANCE COMPANY, Respondent.

Subsequent History: Released for Publication May 18, 2011.

Rehearing denied by, As moot, Request denied by Custer Med. Ctr. v. United Auto. Ins. Co., 2011 Fla. LEXIS 1164 (Fla., May 18, 2011)

Prior History: [**1] Application for Review of the Decision of the District Court of Appeal - Direct Conflict of Decisions. Third District - Case No. 3D06-458. (Dade County).

United Auto. Ins. Co. v. Custer Med. Ctr., 990 So. 2d 633, 2008 Fla. App. LEXIS 13844 (Fla. Dist. Ct. App. 3d Dist., 2008)

Counsel: Marlene S. Reiss, Miami, Florida, for Petitioner.

Michael J. Neimand, Miami, Florida, for Respondent.

Judges: PARIENTE, LEWIS, QUINCE, LABARGA, and PERRY, JJ., concur. POLSTON, J., dissents with an opinion, in which CANADY, C.J., concurs.

Opinion

[*1088] PER CURIAM.

Custer Medical Center seeks review of the decision of the Third District Court of Appeal in *United Automobile Insurance Co. v. Custer Medical Center*, 990 So. 2d 633, 635 (Fla. 3d DCA 2008), on the basis that it expressly and directly conflicts with the decisions of this Court in *Allstate Insurance Co. v. Kaklamanos*, 843 So. 2d 885 (Fla. 2003), *U.S. Security Insurance Co. v. Cimino*, 754 So. 2d 697 (Fla. 2000), and *Dorse v. Armstrong World Industries, Inc.*, 513 So. 2d 1265 (Fla. 1987). We have jurisdiction. See art. V, § 3(b)(3), Fla. Const. We quash the decision below and remand for reinstatement of the decision of the circuit court appellate division. The Third District's decision misapplied the standard of review for second-tier certiorari review and in doing so erroneously created new appellate [**2] jurisdiction that expressly and directly conflicts with multiple decisions involving various areas of Florida law.

[*1089] **FACTS AND PROCEDURAL HISTORY**

On January 4, 2002, the insured, Maximo Masis, was injured in an automobile accident in Miami. Masis was a passenger in a vehicle that was involved in a collision with a second vehicle that had failed to halt at a stop sign. He sought treatment from Custer Medical Center (Custer) for pain in his neck, shoulder, and lower back. Masis received medical treatment at Custer from January 8 through March 1, 2002, for which he incurred \$ 4,250 in charges.

On January 8, 2002, Masis also completed and submitted an application for personal injury protection (PIP) benefits. Subsequently, on January 11, 2002, a law firm submitted an attorney representation letter to Masis's insurer, United Automobile Insurance Company (United), which notified United that Masis would be making a claim for PIP benefits under his policy. In response, United established a claim file.

Upon the termination of Masis's treatment on March 1, 2002, Custer submitted a final bill of \$ 4,250 to United which was admittedly received by United on March 26, 2002, according to a United internal [**3] claim register and also reflected on an acknowledgment of claim letter from United dated March 26, 2002. After all medical treatment had been completed and all the respective bills submitted, United sent certified letters to Masis and his counsel dated March 27, 2002, which notified them that United had scheduled a medical examination of Masis for April 11, 2002, a date long after completion of both treatment and submission of all bills. Masis did not appear for the medical examination or answer United's letter. United sent another request on April 12, 2002, for Masis to attend a medical examination scheduled for April 29, 2009. Masis also did not appear or answer United's letter. As a result, on May 10, 2002, United suspended or denied Masis's PIP benefits, effective as of April 11, 2002.¹

[*1090] In June of 2002, Masis's attorney notified United that the firm had withdrawn from representation of Masis. Thereafter, as Masis's assignee, Custer filed an action in the County Court of Miami-Dade County for reimbursement of the \$ 1,250 in medical treatment expenses that were in excess of Masis's policy deductible. United asserted the *affirmative defense* that Masis's failure to appear for the scheduled medical examination was "unreasonable" as a [**6] matter of law under section 627.736(7), Florida Statutes (2001). The relevant portion of this statute provides:

If a person unreasonably refuses to submit to an examination, the personal injury protection carrier is no longer liable for *subsequent* personal injury protection benefits.

¹ Although the district court of appeal mentions a letter of September 9, 2002, that letter is related to a purported verbal examination under oath with a prohibition of the presence of counsel for an insured, not a medical exam. The concept of a verbal examination under oath is not relevant due to the posture of this case and positions of the parties. The only argument in this case at the trial [**4] court, circuit court, and district court of appeal was based upon medical exams and the failure to attend medical exams. A purported verbal exam under oath without counsel in the PIP context is invalid and more restrictive than permitted by the statutorily mandated coverage and the terms and limitations permitted under the statutory provisions. The prohibition of policy exclusions, limitations, and non-statutory conditions on coverage controlled by statute is clear. See *Flores v. Allstate Ins. Co.*, 819 So. 2d 740, 745 (Fla. 2002) (noting that courts have an obligation to invalidate exclusions on coverage that are inconsistent with the purpose of the statute that mandates the coverage); *Salas v. Liberty Mut. Fire Ins. Co.*, 272 So. 2d 1, 5 (Fla. 1972) (recognizing that insurance coverage that is a creature of statute is not susceptible to the attempts of the insurer to limit or negate the protection afforded by the law); *Mullis v. State Farm Mut. Auto. Ins. Co.*, 252 So. 2d 229, 232-34 (Fla. 1971) (stating that automobile liability insurance and uninsured motorist coverage obtained to comply with or conform to the law cannot be narrowed by the insurer through exclusions and exceptions [**5] contrary to the law); *Diaz-Hernandez v. State Farm Fire & Casualty Co.*, 19 So. 3d 996, 1000 (Fla. 3d DCA 2009) (concluding that a provision in a policy was invalid because it was against the public policy of the statute); *Vasques v. Mercury Cas. Co.*, 947 So. 2d 1265, 1269 (Fla. 5th DCA 2007) (stating that restrictions on statutorily mandated coverage must be carefully examined because exclusions that are inconsistent with the purpose of the statute are invalid) (citing *Flores*, 819 So. 2d at 745). PIP insurance is markedly different from homeowner's/tenants insurance, property insurance, life insurance, and fire insurance, which are not subject to statutory parameters and are simply a matter of contract not subject to statutory requirements.

§ 627.736(7)(b) (emphasis supplied). There were no claims for "subsequent" PIP benefits. All treatment was completed by March 1, 2002, and all bills and claims for benefits for this treatment were submitted before any exams were scheduled and long before the purported denial date of April 12, 2002, established by United.

During the jury trial, Custer presented the testimony of (1) a person who was in the vehicle with Masis when the accident occurred; (2) a doctor who treated Masis at Custer Medical Center; (3) the corporate representative and litigation adjuster for United; and (4) the corporate representative and records custodian for Custer. After Custer rested its case, United moved for a directed verdict without having presented *any* evidence on its affirmative defense.

The trial court granted United's motion on the basis that (1) two failures to appear for medical examinations without excuse or objection [**7] to the notices constituted an unreasonable refusal to submit to the requested medical examination, and (2) in *U. S. Security Insurance Co. v. Silva*, 693 So. 2d 593 (Fla. 3d DCA 1997), the Third District held that an insurer is not liable for subsequent benefits after the time of an insured's unreasonable refusal to appear at a medical examination.² Moreover, the trial court stated that the only basis upon which United prevailed was Masis's failure to appear at a medical examination, and that judgment would otherwise have been rendered in favor of Custer because it had satisfied all the elements of its claim (i.e., reasonable, related, and necessary medical expenses). The trial court discharged the jury in light of its ruling on the motion for directed verdict. Thereafter, the trial court entered a final judgment in favor of United.

Custer appealed the judgment to the Circuit Court of the Eleventh Judicial Circuit. The circuit court appellate division reversed the judgment entered pursuant to the directed verdict and remanded for a trial on the merits by reasoning that

[m]otions for directed verdict should be resolved with extreme caution since the granting thereof holds that one side of the case is essentially devoid of probative evidence. *Perry v. Red Wing Shoe Co.*, 597 So. 2d 821, 822 (Fla. 3d DCA 1992). The trial judge is authorized to grant such a motion only if there is no evidence or reasonable inferences to [*1091] support the opposing position. *Id.*[:] see also *Sal[a]m v. Benmelech*, 590 So. 2d 1008 (Fla. 3d DCA 1991). The evidence must be considered in the light most favorable to the nonmoving party. *Id.*

In this case, the trial judge failed to consider the evidence in a light most favorable to the non-moving party. There is no legal authority supporting United's position that failure to appear is "unreasonable" as a matter of law. United claimed *the affirmative defense* that the failure to appear was unreasonable. United therefore had the burden to show, by [**9] evidence, that the failure to attend the [medical examination] was unreasonable. Nor does the simple showing of failure to appear shift the burden of proof to the Plaintiff to prove why the insured failed to appear. . . . Therefore, in the absence of evidence supporting the affirmative defense, the directed verdict is premature.

²The trial court attempted to apply *Silva*, which is not applicable to these facts. *Silva* addressed a claim based on bills submitted only "subsequent" to a medical examination. Here, it is clear that all bills were incurred and submitted *prior* to the request for a medical examination, the date of such examination, and the date of denial established by United. [**8] There were no bills to submit "subsequent" to that date.

Custer Med. Ctr. v. United Auto. Ins. Co., No. 04-520 AP, at 2-3 (Fla. 11th Cir. Ct. Feb. 14, 2006) (amended opinion) (emphasis supplied).

On March 1, 2006, United petitioned the Third District Court of Appeal for a writ of certiorari, contending that the circuit court appellate division violated clearly established principles of law, resulting in a miscarriage of justice. On September 5, 2007, the district court issued an initial opinion that quashed the circuit court's decision based solely on the authority of *Griffin v. Stonewall Insurance Co.*, 346 So. 2d 97 (Fla. 3d DCA 1977), and *Goldman v. State Farm General Insurance Co.*, 660 So. 2d 300 (Fla. 4th DCA 1995). In *Griffin*, the Third District considered the 1975 version of the PIP statute, which did *not* include the "unreasonable refusal" provision, and held that an insured's failure to comply with the condition [**10] precedent of attendance at a medical examination constituted grounds to enter judgment for the insurer. See 346 So. 2d at 98. *Goldman* involved a *homeowner's* insurance policy and the insured's failure to attend an examination under oath pursuant to the contractual terms of the policy, which has no application in the statutorily required coverage context. See 660 So. 2d at 301. The Florida No-Fault statute is mandatory and does not recognize such a condition. It is therefore invalid and contrary to the statutory terms. Consequently, Custer filed a motion for rehearing or rehearing en banc on the grounds that (1) the decision rested on inapplicable authority (i.e., the distinction in the earlier statute at issue in *Griffin*); (2) the district court shifted the burden to the plaintiff to disprove the defendant's affirmative defense; and (3) the district court exercised certiorari jurisdiction despite United's failure to demonstrate any departure from the essential requirements of law.

Thereafter, the district court ordered the parties to supplement the record with the trial exhibits, specifically the insurance policy, and the appendix to the initial brief filed in the circuit court. In a [**11] corrected opinion, the Third District denied the motion for rehearing and rehearing en banc and elaborated on its basis for review. See *United Auto. Ins. Co. v. Custer Med. Ctr.*, 990 So. 2d 633, 635 (Fla. 3d DCA 2008) (*Custer II*). The Third District (1) granted the petition for writ of certiorari, (2) quashed the decision by the circuit court appellate division, and (3) remanded with directions to reinstate the directed verdict in favor of United. See *id.* In so holding, the Third District stated that the circuit court appellate division had departed from the essential requirements of law, but did not state the manner in which the circuit court had violated a clearly established legal principle by requiring United to present some proof of its affirmative defense before it could obtain a directed verdict in [*1092] its favor on an affirmative defense. In addition, the district court considered and relied upon, for the first time, a "Conditions" provision in the policy, which had not been advanced by the parties or analyzed in any prior decision or ruling in this matter. See *id.* at 634.

Custer invoked this Court's discretionary jurisdiction based on conflict between the decision below and this [**12] Court's decisions in *Allstate Insurance Co. v. Kaklamanos*, 843 So. 2d 885 (Fla. 2003), *U. S. Security Insurance Co. v. Cimino*, 754 So. 2d 697 (Fla. 2000), and *Dorse v. Armstrong World Industries, Inc.*, 513 So. 2d 1265 (Fla. 1987).

ANALYSIS

This Court has continually applied certain fundamental principles for the use of certiorari to review decisions rendered by the circuit court acting in its appellate capacity from the time common-law certiorari jurisdiction was first recognized in 1855. See, e.g., *Allstate Ins. Co. v. Kaklamanos*, 843 So. 2d

885 (Fla. 2003); *Ivey v. Allstate Ins. Co.*, 774 So. 2d 679 (Fla. 2000); *Haines City Community Dev. v. Heggs*, 658 So. 2d 523 (Fla. 1995); *Combs v. State*, 436 So. 2d 93 (Fla. 1983); *Halliday v. Jacksonville & Alligator Plank Rd. Co.*, 6 Fla. 304 (1855). We have consistently observed that "[a]s a case travels up the judicial ladder, review should consistently become narrower, not broader." *Haines*, 658 So. 2d at 530. Therefore, when a district court considers a petition for second-tier certiorari review, the "inquiry is limited to whether the circuit court afforded procedural due process and whether the circuit court applied the correct law," or, as otherwise [**13] stated, departed from the essential requirements of law. *Id.*; see also *Kaklamanos*, 843 So. 2d at 889-90.³ The departure from the essential requirements of the law necessary for granting a writ of certiorari is something more than a simple legal error. See *Kaklamanos*, 843 So. 2d at 889 (citing *Ivey*, 774 So. 2d at 682). Rather, a district court should exercise its discretion to grant review only when the lower tribunal has violated a clearly established principle of law resulting in a miscarriage of justice. See *id.* (citing *Ivey*, 774 So. 2d at 682; *Heggs*, 658 So. 2d at 528). In *Haines City Community Development v. Heggs*, this Court clarified and narrowed the scope of common law certiorari jurisdiction by clearly stating that

[a] decision made according to the form of the law and the rules prescribed for rendering it, although it may be erroneous in its conclusion as applied to the facts, is not an illegal or irregular act or proceeding remedial by certiorari.

658 So. 2d at 525 (quoting *Basnet v. City of Jacksonville*, 18 Fla. 523, 526-27 (1882)).

Furthermore, [**14] the district courts should consider the nature of the error and grant a petition for writ of certiorari "only when there has been a violation of a clearly established principle of law resulting in a miscarriage of justice." *Combs*, 436 So. 2d at 96 (emphasis supplied). Thus, the district court's exercise of its discretionary certiorari jurisdiction should

depend on the court's assessment of the *gravity of the error* and the *adequacy of other relief*. A judicious assessment by the appellate court will not usurp the authority of the trial judge or the role of any other appellate remedy, but will preserve the function of this great writ of review as a "backstop" to correct *grievous errors* that, for a variety of reasons, are not otherwise effectively subject to review.

[*1093] *Heggs*, 658 So. 2d at 531 n.14 (emphasis supplied) (quoting William A. Haddad, *The Common Law Writ of Certiorari in Florida*, 29 U. Fla. L. Rev. 207, 228 (1977)). In other words, this Court has definitively expressed that certiorari cannot be used to grant a second appeal to correct the existence of mere legal error. See, e.g., *Ivey*, 774 So. 2d at 682-83. This is necessary because, unlike an appeal, common-law certiorari is an [**15] entirely discretionary exercise of jurisdiction by the court and is not taken as a matter of right. See *G-W Dev. Corp. v. Village of N. Palm Bch. Zoning Bd. of Adjustment*, 317 So. 2d 828, 830 (Fla. 4th DCA 1975). A reviewing court on appeal may correct any and all errors below, whether jurisdictional, procedural, or substantive, and may modify, reverse, or remand a judgment. See *Haines*, 658 So. 2d at 526 n.3. In contrast, a district court cannot correct just any error that may have occurred below through a second-tier certiorari proceeding. This proceeding is considered original in the sense that the subject-matter of the action or proceeding before the court is *not* to be *reinvestigated, tried, and determined upon the merits* generally as upon appeal at law or writ of error. See *id.* at 525-26 (quoting

³ In *Haines*, this Court concluded that "'applied the correct law' is synonymous with 'observing the essential requirements of law.'" 658 So. 2d at 530.

Basnet v. City of Jacksonville, 18 Fla. 523, 527 (1882)). Hence, a circuit court appellate decision made according to the forms of law and the rules prescribed for rendering it, *although it may be erroneous in its conclusion* as to what the law is as applied to facts, is *not* a departure from the essential requirements of law remediable by certiorari. See *Ivey*, 774 So. 2d at 682 (quoting [**16] *Haines City*, 658 So. 2d at 525).

The policy behind prohibiting certiorari to function as a second appeal is that the circuit court possesses final appellate jurisdiction in cases originating in the county court. See art. V, § 5, Fla. Const. As this Court articulated in *Haines*, if the role of certiorari were expanded to review the correctness of the circuit court's decision, it would amount to a second appeal that usurps the final appellate jurisdiction of the circuit court in contravention of the Florida Constitution. See *id.* at 526 n.4. This would deprive litigants of final judgments obtained in the circuit court and ignore "societal interests in ending litigation within a reasonable length of time and eliminating the amount of judicial labors involved in multiple appeals." *Id.* A more expansive review would also afford a litigant two appeals from a court of limited jurisdiction, while limiting a litigant to only one appeal in cases originating in a trial court of general jurisdiction. See *id.* (citing *Flash Bonded Storage Co. v. Ades*, 152 Fla. 482, 12 So. 2d 164, 165 (Fla. 1943)).

In *Ivey*, this Court expressed that before a district court may exercise certiorari jurisdiction to review a decision of [**17] a circuit court acting in its appellate capacity, the district court must analyze and develop "why the [relevant] circuit court's decision constituted a denial of procedural due process, application of incorrect law, or a miscarriage of justice." *Ivey*, 774 So. 2d at 683; see also *Kaklamanos*, 843 So. 2d at 889-90 (reaffirming *Ivey*). Here, a three-judge panel of the circuit court issued a well-reasoned, written opinion that relied on well-established principles of law which mandate that a motion for directed verdict should only be granted if there is no evidence or reasonable inference to support the opposing position, and that the evidence must be considered in a light most favorable to the nonmoving party. See *Custer Med. Ctr. v. United Auto. Ins. Co.*, No. 04-520 AP, at 2-3 (Fla. 11th Cir. Ct. Feb. 14, 2006) (citing *Perry v. Red Wing Shoe Co.*, 597 So. 2d 821, 822 (Fla. 3d DCA 1992)); see also *Salam v. Benmelech*, 590 So. 2d 1008, 1009 (Fla. 3d DCA 1991). The circuit court [*1094] also thoroughly supported its analysis with appropriate reference to Florida decisions. Cf. *Ivey*, 774 So. 2d at 683. In addition, the circuit court's opinion did nothing more than reverse a county court's final judgment [**18] entered following a directed verdict and remand for a new trial based on well-established law with regard to directed verdicts and burdens of proof for affirmative defenses. Cf. *Haines City Community Dev. v. Heggs*, 647 So. 2d 855, 856 (Fla. 2d DCA 1994), *approved* 658 So. 2d 523 (Fla. 1995). Hence, the decision of the circuit court did not deprive the parties of their day in court, and did not foreclose United from proving its affirmative defense on remand. See *id.* Accordingly, to quash the decision on review, the Third District was required to determine and support that this is one of "those few extreme cases where the appellate court's decision is so erroneous that justice requires that it be corrected." *Combs*, 436 So. 2d at 95.

The Third District premised its exercise of certiorari jurisdiction on the assertion that the circuit court appellate division "departed from the essential requirements of the law." However, similar to its decision in *Ivey*, the district court did *not* supply any correct requisite analysis or sufficient rationale with regard to the manner in which the circuit court departed from the essential requirements of law in its application of the law with regard to directed [**19] verdicts. The Third District neither clarified what the circuit court held below nor did it analyze or address why this holding departed from the essential requirements of the law. The district court opinion contains no determination that a denial of procedural due process occurred, and the district court did not express the manner in which the circuit court applied an incorrect principle of

law or that the decision constituted a miscarriage of justice, "as required by this Court's precedents." *Ivey*, 774 So. 2d at 683; *see also Educ. Dev. Ctr., Inc. v. City of W. Palm Beach Zoning Bd.*, 541 So. 2d 106, 108-09 (Fla. 1989).

Instead, the decision below conveys that the district court of appeal simply disagreed with the circuit court's determination and interpretation of the applicable law. *See Ivey*, 774 So. 2d at 683; *Educ. Dev. Ctr., Inc.*, 541 So. 2d at 108-09. This disagreement is evidenced by the district court's reliance on clearly distinguishable and inapposite precedent to hold that an insured's attendance at a medical examination is a condition precedent to the existence of an auto insurance policy that provides PIP benefits and that, consequently, the insured rather than the insurer [**20] has the burden of proof on this issue. *See Custer II*, 990 So. 2d at 634-35. Logically, the circuit court could not have violated the essential requirements of law when that principle of law had never existed.

In addition, the district court improperly considered and incorrectly relied on language in United's policy which was contrary to existing statutory provisions, had not been advanced by the parties below, and was never involved in the consideration of the lower tribunals in the prior proceedings. After issuing an initial opinion that lacked any reference to the conditions provision in United's policy, the Third District ordered the record to be supplemented on rehearing with the trial transcript and evidence. The district court specifically requested that the parties provide the relevant insurance policy. The Third District then altered the fundamental underpinnings of its analysis to include a contractual provision which had not been advanced as dispositive to any issue in the proceedings below. Moreover, to support its analysis that attendance at a medical examination was a condition precedent to coverage, the district court incorrectly [*1095] characterized a letter concerning Masis's [**21] failure to attend a testimonial examination under oath in August, not a medical exam, as referencing Masis's failure to attend the medical examinations scheduled in April. Of note, the letter does not support the Third District's condition precedent analysis because the relevant quote in the letter is from the policy, which designates attendance at a testimonial examination under oath, *not* a medical examination, as a condition precedent to receiving PIP benefits.

In contrast, the medical examinations provision, which *immediately precedes* the verbal exam provision, does not contain *any* reference to a "condition precedent," as follows:

Proof of Claim; Medical Reports and Examinations; Payment of Claim Withheld. A soon as practicable, the person making claim, (including any assignees of the injured party) shall give to "us" written proof of claim, under oath. *Such person shall submit to mental or physical examinations at "our" expense when and as often as "we" may reasonably require.* A copy of the medical report shall be forwarded to such a person if requested in writing. *If the person unreasonably refuses to submit to an examination "we" will not be liable for subsequent personal injury [**22] protection benefits.*

(Emphasis supplied.) Moreover, the letter relied upon by the Third District was not advanced by the parties as relevant to consideration of the circuit court's decision and is contrary to the statutory provisions of mandatory PIP coverage.

Thus, the district court's actions and analysis are simply an improper de novo review in a "second appeal" rather than the limited review permitted on second-tier certiorari and incorrect in both substance and approach. By expanding its scope of review, the Third District again

created a new category of appellate review never before recognized under Florida law and in express and direct conflict with authority to the contrary. District courts have never been allowed to review decisions, under the guise of certiorari jurisdiction, simply because they are dissatisfied with the result of a decision of a circuit court sitting in its appellate capacity. Certiorari relief should not be afforded so differently in our various appellate courts.

Ivey, 774 So. 2d at 683.

In sum, the Third District did not consider or set forth a sufficient correct legal basis and analysis with regard to the manner in which the relevant circuit court decision [**23] denied procedural due process or departed from the essential requirements of the law resulting in a miscarriage of justice, which is a jurisdictional prerequisite to review a circuit court's appellate decision through a petition for writ of certiorari. Instead, the Third District merely disagreed with the result of the circuit court without supplying a proper and sufficient legal basis for second-tier certiorari review under *Haines*, *Ivey*, and *Kaklamanos*. Accordingly, the district court misapplied the standard of review for second-tier certiorari review and therefore inappropriately exercised its discretionary jurisdiction.

As in *Ivey*, the Third District not only "incorrectly expand[ed] the scope of certiorari by permitting what, in essence, amounted to a second appeal," but also rendered a result that is "contrary to well established and recognized principles of existing PIP law" and general civil procedure. *Ivey*, 774 So. 2d at 683. Specifically, the Third District held that attendance at a medical examination and testimonial exam without counsel are conditions precedent [**1096] to coverage not merely benefits. This is contrary to the general principles of law concerning affirmative defenses [**24] and conditions precedent, as well as the principles underlying the PIP statute.

The purpose of the no-fault statutory scheme is to "provide swift and *virtually automatic payment* so that the injured insured may get on with his life without undue financial interruption." *Ivey*, 774 So. 2d at 683-84 (quoting *Government Employees Ins. Co. v. Gonzalez*, 512 So. 2d 269, 271 (Fla. 3d DCA 1987)). To this end, section 627.736(4)(b) provides that PIP insurance benefits "shall be overdue if not paid within 30 days after the insurer is furnished written notice of the fact of a covered loss and of the amount of same." After an insurance company receives notice of a claim, the insurer has the opportunity to evaluate a claim through procedures such as a medical examination. In pertinent part, section 627.736(7), Florida Statutes (2001), provides:

(a) Whenever the mental or physical condition of an injured person covered by personal injury protection is material to any claim that has been or may be made for past or future personal injury protection insurance benefits, such person shall, upon the request of an insurer, submit to mental or physical examination by a physician or physicians. . . . Personal protection [**25] insurers are authorized to include *reasonable* provisions in personal injury protection insurance policies for mental and physical examination of those claiming personal injury protection insurance benefits. . . .

(b) . . . If a person *unreasonably* refuses to submit to an examination, the personal injury protection carrier is no longer liable for *subsequent* personal injury protection benefits.

(Emphasis supplied.) If an insured *unreasonably* refuses to submit to a medical examination under this statute, the insurer is no longer liable for *subsequent* PIP benefits. See *De Ferrari v. Government Employees Ins. Co.*, 613 So. 2d 101, 103 (Fla. 3d DCA 1993). The medical reports and medical

examination provision of Masis's policy tracked the statutory language but the testimonial exam without counsel provision *did not*. Further, the Third District relied on a conditions provision in the personal injury protection section of the policy which is in conflict with the PIP statute and the medical exam provisions of both the PIP statute and the policy.

An affirmative defense is an assertion of facts or law by the defendant that, if true, would avoid the action and the plaintiff is not bound to prove that the affirmative [*26] defense does not exist. *See Langford v. McCormick*, 552 So. 2d 964, 967 (Fla. 1st DCA 1989); *see also Storchwerke, GMBH v. Mr. Thiessen's Wallpapering Supplies, Inc.*, 538 So. 2d 1382, 1383 (Fla. 5th DCA 1989); *Black's Law Dictionary* 482 (9th ed. 2009). The defendant has the burden of proving an affirmative defense. *See Hough v. Menses*, 95 So. 2d 410, 412 (Fla. 1957). Specifically, a defending party's assertion that a plaintiff has failed to satisfy conditions precedent necessary to trigger contractual duties under an existing agreement is generally viewed as *an affirmative defense*, for which the defensive pleader has the burden of pleading and persuasion. *See, e.g., United Auto. Ins. Co. v. Rousseau*, 682 So. 2d 1229, 1230 (Fla. 4th DCA 1996) (identifying "failure to comply with conditions precedent" as an affirmative defense); *United Auto Ins. Co. v. Zulma*, 661 So. 2d 947, 948 (Fla. 4th DCA 1995) (similar); *see also Fla. R. Civ. P. 1.120(c)* ("In pleading the performance or occurrence of conditions precedent, it is sufficient to aver generally that all conditions precedent have been performed or have occurred. A denial [*1097] of performance or occurrence shall be made specifically and with [*27] particularity."). Furthermore, in *Dorse v. Armstrong World Industries, Inc.*, 513 So. 2d 1265, 1269 n.5 (Fla. 1987), this Court recognized that the burden of proving each element of an affirmative defense rests on the party that asserts the defense. *See also Hough v. Menses*, 95 So. 2d 410, 412 (Fla. 1957); *Cullum v. Packo*, 947 So. 2d 533, 536 (Fla. 1st DCA 2006); *Braid Sales & Mktg., Inc. v. R & L Carriers, Inc.*, 838 So. 2d 590, 592 (Fla. 5th DCA 2003); *Pierson v. State Farm Mut. Auto. Ins. Co.*, 621 So. 2d 576, 578 (Fla. 2d DCA 1993); *Henderson Dev. Co. v. Gerrits*, 340 So. 2d 1205, 1206 (Fla. 3d DCA 1976).

Based on the above, under Florida law, the circuit court was correct that United clearly had the burden of pleading and proving its affirmative defense; therefore, it was required to present evidence to the *fact-finder* that Masis unreasonably failed to attend a medical examination without explanation after having received proper notice. Initially, a failure to attend a medical examination is not automatically considered a "refusal" under the statute. *See Lamora v. United Auto. Ins. Co.*, No. 00-031 AP, 8 Fla. L. Weekly. Supp. 542, 542 (Fla. 11th Cir. Ct. June 19, 2001) ("Assuming *arguendo* [*28] that her failure to appear *could* be determined as a matter of law to be a 'refusal'. . ."). In addition, there are scenarios in which an insured could reasonably refuse to submit to an examination. *See § 627.736(7)(b)*, Fla. Stat. (2001); *Cimino*, 754 So. 2d at 701-02. Thus, the failure to attend a medical examination may or may not be unreasonable depending upon the evidence presented by the insurer. Additionally the status of both prior and subsequent benefits must be considered. *See Tindall v. Allstate Ins. Co.*, 472 So. 2d 1291, 1293-94 (Fla. 2d DCA 1985) (summary judgment limited to only *subsequent* benefits). United concedes that it has the burden of proving its affirmative defense, but contends that it did so through the evidence presented during Custer's case-in-chief. United advances an incorrect principle that once it presented evidence of notice and the insured's failure to attend the medical examination without explanation or objection, the burden of proof allegedly shifted to Custer to demonstrate a reasonable reason for Masis's failure to attend. Further, even if correct, which it is not, an unreasonable refusal would apply to only *subsequent* benefits, not the facts of [*29] this case.

During the examination of United's litigation adjuster, a letter sent by United on May 10, 2002, to Masis's attorneys was placed in evidence. The letter notified the attorneys that United was suspending or terminating benefits as of April 11, 2003, based on Masis's failure to attend the medical examinations scheduled for April 11, 2002, and April 29, 2002. This is the only evidence concerning the failure to attend a medical examination that was in evidence prior to United's motion for directed verdict after Custer rested. Thus, there was no evidence of a "refusal," which has been characterized as distinct from evidence that establishes only that an insured failed to attend a medical examination. *See Lamora*, 8 Fla. L. Weekly Supp. at 542. In addition, the trial court reviewed, and the record contains, two notices scheduling medical examinations. However, these documents were neither in evidence nor used for identification purposes during trial. Accordingly, the trier of fact was not presented with affirmative evidence that Masis actually received notice of the scheduled medical examinations or that any failure was unreasonable. Consequently, the Third District affirmed the [**30] grant of a directed verdict in favor of a defendant based upon an affirmative defense [*1098] for which the defendant had not presented any evidence whatsoever and with regard to benefits sought in connection with medical expenses incurred and claims submitted prior to the medical examination at issue.

Even if United could prove its affirmative defense through evidence presented during Custer's case-in-chief, the record does not establish that United presented sufficient evidence to support a directed verdict based on its affirmative defense. As correctly articulated by the circuit court, motions for direct verdict should only be granted when there is no evidence or reasonable inference to support the opposing position. *See Perry*, 597 So. 2d at 822. Moreover, it is the function of the jury to weigh and evaluate the evidence. *See id.* "Unless the evidence as a whole with all reasonable deductions to be drawn therefrom points to only one possible conclusion, the trial judge is not warranted in withdrawing the case from the jury and substituting her own evaluation of the weight of the evidence." *Id.* As the movant, United had the burden of demonstrating the absence of any material issue of fact. [**31] *See Lamora*, 8 Fla. L. Weekly Supp. 542 (reversing directed verdict that was based solely on the trial court's determination that an insured's failure to appear to two scheduled medical examinations constituted an unreasonable refusal as a matter of law). In *Lamora*, the circuit court held that the reasonableness of an insured's conduct is a question of fact for the jury, not a question of law for the court. *See id.*; *see also Montero v. Oak Cas. Ins. Co.*, Nos. 99-435 AP & 00-008 AP, 8 Fla. L. Weekly Supp. 601, (Fla. 11th Cir. Ct. July 24, 2001) (holding that where the insured presented substantial evidence from which the jury could have concluded that he had not received notification of the medical examination, and therefore did not unreasonably fail to attend, it was error for "the trial judge to 'sit as a seventh juror' and set aside the jury's verdict") (quoting *Perry*, 597 So. 2d at 822). Consequently, the directed verdict was premature because United had not demonstrated the absence of any material issue of fact for the jury (i.e., the reasonableness of the failure or application to *prior* benefits).

Lastly, the Third District held that an insured's attendance at a medical examination [**32] is a condition precedent to the existence of an auto insurance policy that provides PIP benefits and that, consequently, the insured rather than the insurer has the burden of proof on this issue. To support this holding, the district court misapplied clearly distinguishable and inapposite precedent. For example, the primary case that the Third District relied upon below was *Griffin v. American General Life & Accident Insurance Co.*, 752 So. 2d 621 (Fla. 2d DCA 1999), which involved a *life insurance policy*. The context of life insurance is materially distinguishable from the PIP context because medical examinations are actually conditions precedent to the issuance and existence of life insurance policies. In other words, a life insurer may not

enter into an insurance contract with a prospective insured until the insured submits to a medical examination to explore whether there exists any disqualifying pre-existing medical conditions.

In contrast, medical examinations in the context of PIP benefits are not scheduled prior to the existence of a policy or prior to an injury but instead occur only after an insured has sustained an accident and submits notice to an insurer after a policy has **[**33]** been issued and injuries have been sustained. Attendance at a medical examination may be a condition precedent to the **[*1099]** payment of *subsequent* PIP benefits or, perhaps more accurately, an "unreasonable" failure to attend a requested medical examination may be a condition subsequent that divests the insured's right to receive further subsequent PIP benefits. See *U.S. Sec. Ins. Co. v. Cimino*, 754 So. 2d 697, 699, 701-02 (Fla. 2000) (indicating that attendance at a PIP medical examination is a condition precedent to the receipt of subsequent PIP benefits and that section 627.736 contemplates "a situation . . . where the insured 'reasonably refuses to submit' " to a medical examination). The plain text of section 627.736(7)(b), Florida Statutes (2001), supports the analysis presented in *Cimino*: "If a person *unreasonably* refuses to submit to an examination, the [PIP] carrier is *no longer liable for subsequent* [PIP] benefits." § 627.736(7)(b), Fla. Stat. (2001) (emphasis supplied). Accordingly, when parties to an *auto insurance policy* dispute attendance at a medical examination, neither the insurer nor the insured is contesting *the policy's existence*, as the Third District incorrectly stated **[**34]** in its decision below. See *Custer II*, 990 So. 2d at 635 (quoting and relying upon *Griffin*, 752 So. 2d at 623). To the contrary, these parties are simply in a dispute with regard to the insured's continued right to receive *subsequent* PIP benefits under an existing insurance policy.

In addition, *United Automobile Insurance Co. v. Zulma*, 661 So. 2d 947 (Fla. 4th DCA 1995), and *De Ferrari v. Government Employees Ins. Co.*, 613 So. 2d 101 (Fla. 3d DCA 1993), which the Third District relied upon below, do not support the decision in *Custer II*. First, in *Zulma*, the Fourth District stated that attendance at a medical examination is a condition precedent to the receipt of *subsequent* PIP coverage or benefits (not a condition precedent to the policy's existence) and that pleading the failure to attend a PIP medical examination is an *affirmative defense*, which the defensive pleader must establish if the case progresses to trial. See 661 So. 2d at 948-49. Interestingly, *United* was also the insurer in *Zulma* and, in that case, this same insurer conceded that under section 627.736(7), Florida Statutes, "[the **[**35]** insurer] would have to prove that [the insured] *unreasonably* refused to submit to an examination," which is contrary to the position later adopted by the Third District in *Custer II*. See *Zulma*, 661 So. 2d at 948. Second, *De Ferrari* is inapposite because in that decision (a) the district court expressly limited its holding to "uninsured motorist benefits," and did not address PIP coverage, (b) the decision involved a summary judgment based upon undisputed facts, not a directed verdict entered immediately following the plaintiff's case, and (c) the insurer pled the unreasonable failure to attend a medical examination as an *affirmative defense* (not as a condition precedent to the policy's existence). See 613 So. 2d at 102-03.

Lastly, *Cimino* does not support the Third District's assertion in *Custer II* that attendance at a medical examination is a condition precedent to the existence of an auto insurance policy. See *Custer II*, 990 So. 2d at 635 (quoting and relying upon *Griffin*, 752 So. 2d at 623). First, *Cimino* primarily established that an insured was entitled to have counsel present and a recording made during a PIP medical exam. Second, *Cimino* established that attendance at a medical **[**36]** examination is a condition precedent to the receipt of only *subsequent* PIP benefits under an existing auto insurance policy or, perhaps more accurately, that the failure to "reasonably" attend a requested medical examination is a condition subsequent, which divests the insured of the right to receive *subsequent* PIP benefits. See 754 So. 2d at 701-02.

[*1100] In *Tindall v. Allstate Ins. Co.*, 472 So. 2d 1291, 1293 (Fla. 2d DCA 1985), the district court reasoned that an *unreasonable refusal* of a claimant to submit to an examination would relieve the insurer only of *future liability* for PIP benefits, *not* medical expenses already incurred. The court in *Tindall* specifically reversed a summary judgment in favor of an insurer and ordered that the trial court consider the benefits due *before* the failure to appear for a requested medical exam. The failure to attend impacted only medical expenses incurred *after* the date of the requested exam. Thus, contrary to the Third District's analysis in *Custer II*, *Tindall* and *Cimino* establish under a different statutory provision the principles that (1) because an insured may reasonably refuse to attend a medical examination, a mere allegation or demonstration of [*37] simple failure to attend is insufficient to prove that an insured unreasonably refused to submit to the medical examination, and (2) attendance at a medical examination is not a condition precedent to the payment of benefits for prior antecedent PIP benefits under an existing auto insurance policy. More importantly, *Cimino* is completely inapplicable to the circumstances of the decision below because *Cimino* considered the requirements for attendance at a medical examination when the

insured is claiming an entitlement to *continued* benefits and the insurer is questioning the necessity for same. In order to *continue* receiving benefits the insured must comply with the requirements of the insurance contract and section 627.736. The insured is required to comply with a PIP examination in order to *continue to receive the contractual benefits*.

752 So. 2d at 701 (emphasis supplied). Here, Custer sought reimbursement for medical treatment that had already been completed and claims submitted before United requested a medical examination. Moreover, the medical examination was scheduled for a date long after completion of treatment and submission of all bills. Thus, this is not in any way analogous [*38] to the factual circumstances of *Cimino* because the claim in the present case did not seek *continued benefits*, but rather benefits related to previously completed services and claims submitted.

Accordingly, the district court relied on inapposite and distinguishable authority to incorrectly hold that an insured's attendance at a medical examination is a condition precedent to the existence of an auto insurance policy that provides PIP benefits and that, consequently, the insured rather than the insurer had the burden of proof on this issue. In addition, the evidence does not establish that United proved its affirmative defense, and consequently, United failed to establish that no material fact existed as to its affirmative defense, which was necessary to support a directed verdict on that defense.⁴ The circuit court in its appellate capacity afforded due process, applied the correct law, did not depart from the essential requirements of the law, and was eminently correct in the decision rendered.

[*1101] CONCLUSION

Accordingly, we quash the decision below and remand for reinstatement of the circuit court's decision.

⁴The parties advance multiple arguments concerning factual issues and the underlying merits of this action. However, the trial court is in the best position to determine the underlying merits [*39] during a new trial. See *Applegate v. Barnett Bank of Tallahassee*, 377 So. 2d 1150, 1152 (Fla. 1979) ("When there are issues of fact the appellant necessarily asks the reviewing court to draw conclusions about the evidence. Without a record of the trial proceedings, the appellate court can not properly resolve the underlying factual issues so as to conclude that the trial court's judgment is not supported by the evidence or by an alternative theory.").

It is so ordered.

PARIENTE, LEWIS, QUINCE, LABARGA, and PERRY, JJ., concur.

POLSTON, J., dissents with an opinion, in which CANADY, C.J., concurs.

Concur by: CANADY

Dissent by: POLSTON

Dissent

POLSTON, J., dissenting.

I would not exercise jurisdiction.

CANADY, C.J., concurs.

End of Document

Wolowitz v. Thoroughbred Motors, Inc.

Court of Appeal of Florida, Second District

August 25, 2000, Opinion Filed

Case No. 2D99-3614

Reporter

765 So. 2d 920 *; 2000 Fla. App. LEXIS 10910 **; 25 Fla. L. Weekly D 2033

CHARLES A. WOLOWITZ, Appellant, v. THOROUGHNBRED MOTORS, INC., and RODNEY DESSBERG, Appellees.

Notice:

Subsequent History: [**1] Released for Publication September 27, 2000.

Prior History: Appeal from the Circuit Court for Sarasota County; Harry M. Rapkin, Judge.

Disposition: Reversed and remanded.

Counsel: Timothy L. Newhall of Hamrick, Perrey, Quinlan & Smith, P.A., Bradenton, for Appellant.

Melinda A. Delpech of Watrous & Delpech, P.A., Sarasota, for Appellees.

Judges: PARKER, Acting Chief Judge. BLUE and WHATLEY, JJ., Concur.

Opinion by: PARKER

Opinion

[*921] PARKER, Acting Chief Judge.

In this case arising out of the sale and purchase of an automobile, Charles Wolowitz, the plaintiff in the trial court, challenges the trial court's order granting final summary judgment in favor of the defendants, Thoroughbred Motors, Inc. (Thoroughbred) and Rodney Dessberg. Because the trial court granted summary judgment based on an affirmative defense neither pleaded nor proved by Thoroughbred, we reverse.¹

[**2] In 1996, Nationwide Insurance Company declared a 1988 Jaguar XJS convertible a total loss as the result of an engine fire. Nationwide then offered the Jaguar for sale at a salvage auction. Thoroughbred, acting through Dessberg, purchased the Jaguar from Nationwide at the auction. At the time of purchase, Dessberg was aware that Nationwide had declared the Jaguar nonrebuildable and had assigned it a "salvage only--nonrebuildable" title. [*922] Pursuant to section 319.30(3)(b), Florida Statutes (1995), once a vehicle has been declared nonrebuildable, the Florida Department of Highway Safety and Motor

¹ On Thoroughbred's counterclaim, the trial court entered summary judgment in favor of Wolowitz and awarded him \$ 11,370. Thoroughbred did not appeal that ruling, so we do not address that award in this opinion.

Vehicles is prohibited from issuing any title for the vehicle other than a "nonrebuildable" title, and the vehicle cannot be legally operated on Florida's public roads.

Shortly after Thoroughbred bought the Jaguar, Wolowitz's nephew learned that Thoroughbred was offering it for sale. Knowing that Wolowitz was interested in this type of Jaguar, Wolowitz's nephew spoke to Dessberg about it, specifically asking about the status of its title. Dessberg told Wolowitz's nephew that the Jaguar would be eligible for a "rebuilt" title after it was repaired.

In November 1996, [**3] Wolowitz met with Dessberg and inspected the Jaguar. Dessberg told Wolowitz that the Jaguar had been slightly damaged in a minor fuel fire, that the damage was easily repairable, and that once the repairs had been completed the Jaguar would be eligible for a "rebuilt" title. When Wolowitz asked Dessberg about the possibility that the Jaguar would not be eligible for a "rebuilt" title after he had incurred the expense of repair and restoration, Dessberg assured Wolowitz that he had successfully obtained "rebuilt" titles in similar situations in the past. Based upon Dessberg's representations, Wolowitz agreed to purchase the Jaguar for \$ 8,000. No written contract was involved in this transaction.

After the sale, Dessberg contacted Nationwide three times in an attempt to change the title designation from "salvage only--nonrebuildable" to "rebuildable." Nationwide refused to change the designation. Despite knowing of this problem in December 1996, Dessberg did not tell Wolowitz of the title problem until September 1997. By that time, Wolowitz had invested significant funds in repairing and restoring the Jaguar.²

[**4] When Dessberg finally told Wolowitz of the title problem, the parties entered into a series of discussions concerning how to resolve the situation. Ultimately, Wolowitz sought to memorialize these discussions in writing. He put the terms of the resolution in writing, had the document reviewed by an attorney, and then presented it to Dessberg. This document, entitled a "contract confirmation," sets forth the following facts and provisions: (1) Thoroughbred sold the Jaguar to Wolowitz for \$ 8,000 with the expectation that a "rebuildable" title would be obtained; (2) as of September 8, 1997, the date of the "contract confirmation," all parties knew that the Jaguar had a "salvage only--nonrebuildable" title; (3) as of September 8, 1997, all parties knew that there was a problem obtaining a "rebuildable" title and that Nationwide was not going to cooperate in the process; (4) on September 8, 1997, Wolowitz returned the Jaguar to Thoroughbred so that Thoroughbred could secure a "rebuildable" title within the next sixty days; (5) all parties acknowledged that the process of obtaining a "rebuildable" title might require obtaining a new vehicle identification number (VIN); (6) all parties [**5] agreed to cooperate in the process of obtaining a new VIN; and (7) if Thoroughbred did not obtain a "rebuildable" title within sixty days, Wolowitz would file a legal action seeking to recover the \$ 11,370 that he had expended as of September 8, 1997. This document was signed by Wolowitz and Dessberg and witnessed by an attorney who happened to be at Thoroughbred's offices that day.

When Thoroughbred failed to obtain a "rebuildable" title for the Jaguar, Wolowitz filed a five-count complaint against Thoroughbred and Dessberg. Count I alleged breach of contract; count II alleged breach of implied warranties; count III alleged fraud in the inducement; count IV alleged negligent

²The parties do not dispute that as of September 1997 Wolowitz had paid Thoroughbred \$ 5,000 toward the \$ 8,000 purchase price and had expended approximately \$ 6,370 for repairs and restoration.

misrepresentation; and [*923] count V alleged violations of the Florida Unfair and Deceptive Trade Practices Act. Wolowitz filed an amended complaint and later filed a second amended complaint adding a claim for punitive damages on the fraud count. Thoroughbred filed a counterclaim alleging breach of contract based on Wolowitz's failure to pay the entire \$ 8,000 purchase price for the Jaguar.

After significant discovery, Thoroughbred moved for summary judgment as to all counts of the second amended complaint. Thoroughbred [**6] argued that the second amended complaint was based solely on the original oral contract, that the original oral contract had been superseded by the written "contract confirmation," and that Thoroughbred was entitled to judgment as a matter of law because the complaint was based on a contract that had been superseded. Thus, the only issue before the trial court was whether the "contract confirmation" superseded the original oral contract as a matter of law. During the hearing on the motion, the trial court considered whether the "contract confirmation" constituted a settlement agreement, a novation, or an accord and satisfaction. Ultimately, the trial court found that the "contract confirmation" constituted an accord and satisfaction which superseded the original oral contract and entered final summary judgment in favor of Thoroughbred on that basis. This judgment is improper for three reasons.

First, accord and satisfaction is an affirmative defense that must be specifically pled. See *Fla. R. Civ. P. 1.110(d)*. In this case, Thoroughbred did not plead the affirmative defense of accord and satisfaction. Therefore, Thoroughbred waived the defense. See *Fla. R. Civ. P. 1.140(b)*, [**7] *1.140(h)(1)*. Since the defense was waived, it should not have been considered by the trial court, much less used as the basis for granting summary judgment.

Second, the defense of accord and satisfaction requires proof that "the parties mutually intended to effect a settlement of an existing dispute by entering into a superseding agreement . . . and . . . actual performance with satisfaction of the new agreement" *Rudick v. Rudick*, 403 So. 2d 1091, 1093-94 (Fla. 3d DCA 1981). If there is no performance under the new agreement, then there is no satisfaction and the defense fails. *Id.* at 1094; see also *Waxler v. Hockensmith*, 474 So. 2d 415, 417 (Fla. 2d DCA 1985); *Vance v. Scanlon*, 121 So. 2d 709, 710 (Fla. 2d DCA 1960); *Hannah v. James A. Ryder Corp.*, 380 So. 2d 507, 510-11 (Fla. 3d DCA 1980). In this case, it is undisputed that Thoroughbred did not deliver a "rebuildable" title to Wolowitz at any time, much less within the sixty days allowed under the "contract confirmation." Therefore, because Thoroughbred did not perform under the alleged agreement, there was no satisfaction, and the defense [**8] of accord and satisfaction fails as a matter of law.

Third, the question of whether the parties "intended to effect a settlement of an existing dispute by entering into a superseding agreement" is generally a question of fact. See *Brewer v. Northgate of Orlando, Inc.*, 143 So. 2d 358, 361 (Fla. 2d DCA 1962); *Hannah*, 380 So. 2d at 509. In this case, there is a dispute between the parties as to whether they intended the "contract confirmation" to be a settlement of their dispute that discharged their obligations under the original oral agreement. Wolowitz's affidavit testimony is that he never intended the "contract confirmation" to discharge either parties' obligations under the original oral agreement. Given this testimony, the intent of the parties presented a genuine issue of material fact that rendered summary judgment improper. For these three reasons, we reverse the trial court's order granting summary judgment in favor of Thoroughbred and Dessberg.

In defending the trial court's ruling, Thoroughbred asserts that the "contract confirmation" was actually a settlement agreement that the trial court properly enforced. However, this argument [*924] fails [**9]

for two reasons. First, settlement agreements are governed by the law of contracts. See *Bateski v. Ransom*, 658 So. 2d 630, 631 (Fla. 2d DCA 1995); *Woodfield Plaza, Ltd. v. Stiles Constr. Co.*, 687 So. 2d 856, 857 (Fla. 4th DCA 1997). As such, they require proof that consideration was given by each party. In this case, there was no evidence that consideration was given by either party. It is clear from the terms of the "contract confirmation" that Thoroughbred agreed to do nothing other than what it originally contracted to do, i.e., deliver the Jaguar with a "rebuildable" title. An agreement to perform a preexisting obligation does not constitute consideration. See *U.S. Home Acceptance Corp. v. Kelly Park Hills, Inc.*, 542 So. 2d 463, 464 (Fla. 1st DCA 1989); *South Miami Hosp. Found. v. Hernandez*, 455 So. 2d 1103, 1104 (Fla. 3d DCA 1984). It is also clear from the terms of the "contract confirmation" that the only possible consideration from Wolowitz was his agreement to forbear from litigation for sixty days. However, an agreement to forbear from litigation does not constitute legal consideration. See *South Miami Hosp. Found.*, 455 So. 2d at 1104. [**10] Accordingly, because neither party gave consideration for the "contract confirmation," it cannot constitute an enforceable settlement agreement.

Thoroughbred argues that it gave consideration for the "contract confirmation" by agreeing to pay Wolowitz \$ 11,370 if it failed to deliver a "rebuildable" title within sixty days. However, this is a misstatement of the terms of the "contract confirmation." Nothing in the "contract confirmation" required Thoroughbred to pay anything if it did not deliver a "rebuildable" title within sixty days. Rather, the "contract confirmation" merely stated what damages Wolowitz would seek in an appropriate legal action if Thoroughbred failed to deliver a "rebuildable" title. Therefore, contrary to Thoroughbred's assertions, it gave no consideration for the "contract confirmation," and no enforceable settlement agreement was created as a matter of law.

Second, before a trial court may enforce a settlement agreement, the proponent of the agreement must prove that the parties mutually agreed on every essential element of the agreement. See *Bateski*, 658 So. 2d at 631. In this case, there is a question of fact concerning whether the parties [**11] intended the "contract confirmation" to discharge all prior obligations. This question of fact would make summary judgment based on the alleged settlement agreement improper. Therefore, even if the trial court's order had been based on a finding that the "contract confirmation" was a settlement agreement, the order would nevertheless require reversal due to the failure of consideration and the fact questions concerning intent.

Much of Wolowitz's argument addressed the issue of novation. However, both parties and the trial court agreed that the "contract confirmation" did not constitute a novation.³ We agree because neither side gave consideration for the "contract confirmation" and because fact questions exist concerning the parties' intent when signing the "contract confirmation."

[**12] Since we are remanding this case to the trial court for further proceedings, we address Wolowitz's argument concerning the admissibility of the "contract confirmation" at trial. Wolowitz filed a motion in limine, seeking to exclude the "contract confirmation" from evidence.⁴ The trial court denied [**925] this

³In its brief, Thoroughbred claims that neither party raised the issue of novation prior to the summary judgment hearing. However, Thoroughbred's own pleadings show that it raised novation as an affirmative defense. Therefore, contrary to Thoroughbred's contention, Wolowitz's argument should not be disregarded because Wolowitz was properly responding to an affirmative defense raised by Thoroughbred.

⁴It appears from the record that Wolowitz's primary concern is the handwritten provision concerning obtaining a new VIN for the Jaguar. Apparently, re-VINing a vehicle is a "grey legal area."

motion. We affirm this ruling because we cannot say based on this record that the "contract confirmation" would be inadmissible under all circumstances.

Wolowitz argues that if the "contract confirmation" does not constitute an accord and satisfaction, a settlement agreement, or a novation as a matter of law, then the "contract confirmation" is irrelevant to any issue before the trier of fact and therefore is inadmissible. While we have concluded that the "contract confirmation" does not constitute an accord and satisfaction, **[**13]** a settlement agreement, or a novation as a matter of law, we do not agree that the "contract confirmation" is irrelevant. The "contract confirmation" clearly establishes many of the facts upon which Wolowitz's action is based. See § 90.401, *Fla. Stat.* (1995). For example, it establishes the existence of the original oral agreement, many of the terms of the original oral agreement, and both parties' actions following the original oral agreement. We recognize that this information is also available from other sources, namely the testimony of Wolowitz and Dessberg. Thus, whether the trial court should exclude the "contract confirmation" as "needless presentation of cumulative evidence" under *section 90.403, Florida Statutes* (1995), is a question that can only be answered based on the proceedings at trial. See also § 90.612(1)(b), *Fla. Stat.* (1995) (allowing the trial judge to exercise reasonable control over the presentation of evidence to avoid needless consumption of time).

In the alternative, Wolowitz argues that even if the "contract confirmation" is relevant it should nevertheless be excluded under **[**14]** *section 90.408, Florida Statutes* (1995), which he contends bars all evidence of unsuccessful settlement negotiations. However, this is too broad a reading of the statute. *Section 90.408* excludes evidence of settlement negotiations only when the evidence is offered to prove liability, the absence of liability, or value. Thus, evidence of settlement negotiations is admissible to establish other relevant facts. See William R. Eleazer & Glen Weissenberger, *Florida Evidence* 209 (1998 ed.). To the extent that the "contract confirmation" addresses issues other than liability and value, it would not necessarily be excluded under *section 90.408*. Therefore, the decision as to the admissibility of the "contract confirmation" must be left to the trial court based on the events at trial and reasons given for offering the "contract confirmation" into evidence.

Reversed and remanded.

BLUE and WHATLEY, JJ., Concur.

End of Document

Midland Trust Co. v. Whitfield Ests., LLC

Circuit Court of the Twelfth Judicial Circuit of Florida, Manatee County

August 8, 2024, Decided; August 8, 2024, Filed

CASE NO.: 2023-CA-004600

Reporter

2024 Fla. Cir. LEXIS 2154 *; 2024 LX 157808

MIDLAND TRUST COMPANY, as Custodian F/B/O MICHAEL S. BENNETT #1721996, MCALLEN HOLDING COMPANY, LLC., A Delaware Limited Liability Company and JOURNEYMAN EXAMZ, INC., A Florida Corporation, Plaintiffs, v. WHITFIELD ESTATES, LLC, A Florida Limited Liability Company, GREGORY FASANO, FRANK STUBBOLO, NEIL SIMMONS and ALEX WILSON, Defendants.

Notice: [EDITOR'S NOTE: THIS ORDER HAS BEEN SIGNED BY THE JUDGE, BUT SIGNATURE TEXT WAS ILLEGIBLE IN THE ORIGINAL DOCUMENT AND THEREFORE THE JUDGE'S NAME IS NOT DISPLAYED.]

Opinion

[*1] ORDER ADOPTING AND APPROVING MAGISTRATE'S REPORT AND RECOMMENDATION

Pursuant to Fla. R. Civ. P. 1.490 the Court has by specific order of reference directed that this cause be referred to a Magistrate. The Magistrate's Report and Recommendation was duly filed with the Clerk of the Court and copies thereof were furnished to the parties and/or their attorneys of record. This Court having considered the findings of fact, conclusions of law, and recommendations therein, it is thereupon **ORDERED AND ADJUDGED** that:

1. Exceptions to the Magistrate's Report and Recommendation Pursuant to Fla. R. Civ. P. 1.490(i):

☒ Neither party filed exceptions to the Magistrate's Report and Recommendation.

☐ The exceptions to the Magistrate's Report and Recommendation filed by the following party are **DENIED**: __

2. The Court approves and incorporates herein the attached Magistrate's Report and Recommendation, adopts each and every finding of fact, conclusion of law, and recommendation therein as this Courts order, and makes the same an order and judgment of this Court.

3. The parties are ordered to comply with all of the provisions of the attached Magistrate's Report and Recommendation.

4. The Court retains jurisdiction to enforce and modify this order and to [*2] enter such other orders as may be necessary.

DONE AND ORDERED at Bradenton, Manatee County, Florida this 8th day of August, 2024.

/s/ [Signature]

CIRCUIT COURT JUDGE

MAGISTRATE'S REPORT AND RECOMMENDATION ON PLAINTIFFS' MOTION TO STRIKE AFFIRMATIVE DEFENSES

THIS CAUSE came on for hearing before the undersigned General Magistrate after due notice on July 18, 2024, on the Plaintiffs' Motion to Strike **Affirmative Defenses** filed on June 4, 2024. After carefully considering the above listed Motion, the Court file, the applicable law, and being otherwise duly advised in the premises, the Magistrate submits the following Report and Recommendation:

1. This matter was duly referred to the Magistrate for hearing by Order of Referral entered by the Court. No objections were filed or made to the General Magistrate hearing this cause pursuant to *Fla. R. Civ. P. 1.490*.
2. This is a civil action to recover monetary damages for Breach of Contract (Count I), and Breach of Guaranty (Counts II, III, IV, and V).
3. The Plaintiffs are presently seeking the entry of an Order striking various **Affirmative Defenses** asserted by each of the Defendants. Specifically, the Plaintiffs are seeking to have Defendant Whitfield Estates, LLC's ("Whitfield") [*3] First, Third, Fourth, Fifth, Sixth, Seventh, Eighth, Ninth, Tenth, and Eleventh **Affirmative Defenses** stricken for failing to plead sufficient facts in support of those defenses with particularity. The Plaintiffs are also seeking the First, Fourth, Fifth, Sixth, Seventh, Eighth, Ninth, Tenth, Eleventh, and Twelfth **Affirmative Defenses** asserted by Defendants Gregory Fasano, Frank Stubbolo, Neil Simmons, and Alex Wilson, stricken for that very same reason.
4. "An **affirmative defense** is an assertion of facts or law by the defendant that, if **true**, would avoid the action..."¹ "Certainty is required when pleading defenses and claims alike...and pleading conclusions of law unsupported by allegations of ultimate fact is legally insufficient."²
5. "A motion to strike a defense tests only the legal sufficiency of the defense."³ "Where...a defense is legally sufficient on its face and presents a bona fide issue of fact, it is improper to grant a motion to strike."⁴

¹ *Custer Medical Center v. United Automobile Insurance Company*, 63 So. 3d 1086, 1096 (Fla. 2010) (citing *Langford v. McCormick*, 552 So. 2d 964, 967 (Fla. 1st DCA 1989)).

² *Bliss v. Carmona*, 418 So. 2d 1017, 1019 (Fla. 3d DCA 1982) (Internal citations omitted); see also *Chris Craft Indus., Inc. v. Van Valkenberg*, 267 So. 2d 642 (Fla. 1972).

³ *Gonzalez v. NABU Nat. Bank*, 93 So. 3d 1054, 1057 (Fla. 3d DCA 2012) (quoting *Burns v. Equilease Corp.*, 357 So. 2d 786, 787 (Fla. 3d DCA 1978)).

⁴ *Id.* (quoting *Hulley v. Cape Kennedy Leasing Corp.*, 376 So. 2d 884, 885 (Fla. 5th DCA 1979)).

Reno v. Adventist Health Systems/Sunbelt, Inc.

Court of Appeal of Florida, Second District

December 2, 1987, Filed

No. 87-318

Reporter

516 So. 2d 63 *; 1987 Fla. App. LEXIS 11306 **; 12 Fla. L. Weekly 2778

Robert Reno, M.D., Appellant, v. Adventist Health Systems/Sunbelt, Inc., and East Pasco Medical Center, Inc., Appellees

Prior History: [**1] Appeal from the Circuit Court for Pasco County; Ray E. Ulmer, Judge.

Counsel: Charles C. Powers of Charles C. Powers, P.A., for Appellant.

William Trickel, Jr. and Diana K. Bock of Trickel & Leigh, for Appellees.

Judges: Lehan, Judge. Scheb, A.C.J., and Frank, J., concur.

Opinion by: LEHAN

Opinion

[*64] Plaintiff appeals from a final judgment which resulted from the granting of defendants' motion for judgment on the pleadings. It appears that the motion was granted and the judgment was entered on the basis of plaintiff having admitted an affirmative defense of defendants. The admission apparently was found to have occurred through the application of rule 1.110(e), Florida Rule of Civil Procedure, to plaintiff's failure to reply to the affirmative defense. We reverse because we conclude that that application of the rule was erroneous.

Plaintiff, a physician specializing in radiology, sued East Pasco Medical Center, Inc., hereinafter called the hospital, for an injunction and damages by reason of the hospital's alleged failure to permit plaintiff to use the hospital's radiology facilities. Causes of action under the various counts in the complaint were asserted to be grounded upon [**2] breach of an alleged contract, promissory estoppel, and a violation of section 395.0115, Florida Statutes (1985). In addition, plaintiff sued the corporate parent of the hospital corporation, alleging interference with an advantageous business relationship. Both defendants filed an answer containing an affirmative defense that "Defendant, EAST PASCO MEDICAL CENTER, INC., has in effect an exclusive contract for the provision of radiological services at the East Pasco Medical facility. Said exclusive contract is in full force and effect under the rationale of *Blank v. Palo Alto-Stanford Hospital Center*, 234 Cal.App.2d 377, 44 Cal. Rptr. 572 (1965), and *Smith v. Northern Michigan Hospitals, Inc.*, 703 F.2d 942 (6th Cir. 1983). Plaintiff . . . is not a party to the exclusive contract, and therefore is barred by said contract from use of the facilities located at East Pasco Medical Center, Inc. . . .

."

We need not address the legal sufficiency of that affirmative defense. Its allegations could not be taken as true for the purpose of ruling upon the motion for judgment on the pleadings because the lack of a reply to the defense did not constitute an admission of its allegations. [**3] As this court said in *Kitchen v. Kitchen*, 404 So.2d 203, 205 (Fla. 2d DCA 1981), "Under the holding in *Moore [Moore Meats, Inc. v. Strawn]*, 313 So.2d 660 (Fla. 1975)], it is only when 'new matter' is sought to be asserted to avoid the affirmative defense that a reply is required." Quoting from *Trawick's Florida Practice & Procedure*, as quoted in *Moore*, *Kitchen* pointed out that "the rule specifically does not require a reply merely to deny the allegations of the defense or to show that the pleader lacks knowledge of the truth of those allegations." 404 So.2d at 205. The reason for a reply to an affirmative defense is noted in *Moore* where the Florida Supreme Court said, "This [a reply] is necessary in order to lay a predicate for . . . proofs [of an avoidance of an affirmative defense] so that the parties may prepare accordingly." 313 So.2d at 661. That is, as plaintiff argues, a reply to an affirmative defense is necessary only in order to entitle the plaintiff to, in effect, prove an affirmative defense to [*65] an affirmative defense. See also *Williams v. Irick*, 433 So.2d 681 (Fla. 5th DCA 1983); Trawick, "To Reply Or Not to Reply?," 47 Fla. B.J. [**4] 703 (1973).¹

Accordingly, plaintiff's failure to file a reply to the affirmative defense had the effect of denying the allegations of the defense. By having failed to reply to the defense, plaintiff would not be entitled at trial to raise new matters in avoidance thereof. See *North American Philips Corp. v. Boles*, 405 So.2d 202 (Fla. 4th DCA 1981).

We do not address the arguments as to whether the various counts of the complaint state causes of action. It does not appear that whether or not the complaint states causes of action was ruled upon by the trial court. We agree with plaintiff that the judgment should not be treated as a summary judgment. The notice of hearing did not fulfill the requirements of Florida Rule of Civil Procedure 1.510(c).

Reversed and remanded for proceedings [**5] consistent herewith.

SCHEB, A.C.J., and FRANK, J., Concur.

End of Document

¹ To the extent that language in *Tax v. Keiser*, 328 So.2d 517 (Fla. 4th DCA 1976), may be taken to the contrary, we conclude that that case does not accurately reflect the precepts of *Moore* which *Tax* did not cite.

Derouin v. Universal Am. Mortg. Co., LLC

Court of Appeal of Florida, Second District

August 22, 2018, Opinion Filed

Case No. 2D17-1002

Reporter

254 So. 3d 595 *; 2018 Fla. App. LEXIS 11800 **; 43 Fla. L. Weekly D 1939; 2018 WL 3999415

RICHARD J. DEROUIN and KIM E. DEROUIN, Appellants, v. UNIVERSAL AMERICAN MORTGAGE COMPANY, LLC, a Florida limited liability company, Appellee.

Subsequent History: Related proceeding at Solomon Law Grp., P.A. v. Dovenmuehle Mortg., 2021 Fla. App. LEXIS 15376 (Fla. Dist. Ct. App. 2d Dist., Dec. 8, 2021)

Prior History: [**1] Appeal from the Circuit Court for Pasco County; Alicia Polk, Judge.

Counsel: Dineen Pashoukos Wasylik and Jared M. Krukar of DPW Legal, Tampa, for Appellants.

Laura H. Howard and Stanford R. Solomon of The Solomon Law Group, P.A., Tampa, for Appellee.

Judges: LaROSE, Chief Judge. LUCAS and ROTHSTEIN-YOUAKIM, JJ., Concur.

Opinion by: LaROSE

Opinion

[*597] LaROSE, Chief Judge.

Richard and Kim Derouin appeal a final foreclosure judgment entered in favor of Universal American Mortgage Company, LLC. We have jurisdiction. *See* Fla. R. App. P. 9.030(b)(1)(A). The Derouins contend that Universal failed to engage in the face-to-face meeting required by 24 C.F.R. § 203.604 (2012) prior to filing the foreclosure lawsuit. Critical to our resolution of this matter, they maintain that the trial court erred in finding that they waived Universal's compliance with the federal regulations. Because the record before us does not show waiver, we reverse and remand for entry of an order of involuntary dismissal.

Background

Universal loaned money to the Derouins to buy a home. The loan, insured by the Federal Housing Administration, was memorialized by a note and secured by a mortgage. The note provided that, if the Derouins defaulted, Universal "may, except as limited by regulations of the Secretary [of [**2] Housing and Urban Development] in the case of payment defaults, require immediate payment in full of the principal balance remaining due and all accrued interest. . . . *This Note does not authorize acceleration when not permitted by HUD regulations.*" (Emphasis added).

The HUD regulations upon which the Derouins rely provide, in relevant part, as follows: "The mortgagee must have a face-to-face interview with the mortgagor, or make a reasonable effort to arrange such a meeting, before three full monthly installments due on the mortgage are unpaid." 24 C.F.R. § 203.604(b).¹ The regulations also cabin the mortgagee's ability to foreclose until the face-to-face interview is conducted. [*598] See 24 C.F.R. § 203.500 ("This subpart identifies servicing practices of lending institutions that HUD considers acceptable for mortgages insured by HUD. . . . It is the intent of the Department that no mortgagee shall commence foreclosure or acquire title to a property until the requirements of this subpart have been followed.").

The regulations establish several exceptions to the face-to-face meeting requirement, two of which apply here. First, a mortgagee may be excused from conducting the interview when "[t]he mortgagor has clearly indicated that [**3] he will not cooperate in the interview." 24 C.F.R. § 203.604(c)(3). Second, a meeting is unnecessary when "[a] reasonable effort to arrange a meeting is unsuccessful." 24 C.F.R. § 203.604(c)(5). "A reasonable effort to arrange a face-to-face meeting with the mortgagor" includes "at a minimum . . . one letter sent to the mortgagor certified by the Postal Service as having been dispatched" and "at least one trip to see the mortgagor at the mortgaged property." 24 C.F.R. § 203.604(d).

Universal sued the Derouins after they defaulted on their loan payments. Universal alleged that "[a]ll conditions precedent to commencement and maintenance of this action have been performed, satisfied[,] or otherwise discharged." The Derouins answered the complaint, denied the substantive allegations, and asserted several affirmative defenses. Universal replied to the affirmative defenses.

With the trial court's permission, the Derouins filed a second amended answer. See *Thompson v. Jared Kane Co., Inc.*, 872 So. 2d 356, 360 (Fla. 2d DCA 2004) ("The Florida Rules of Civil Procedure reflect a clear policy that, absent exceptional circumstances, requests for leave to amend pleadings should be granted."). In that pleading, the Derouins specifically denied that Universal satisfied all conditions precedent to filing suit. Specifically, they alleged that [**4] Universal had failed to conduct, or otherwise attempt to conduct, a face-to-face meeting within ninety days of default. The Derouins also raised a corresponding affirmative defense: Universal "[f]ailed to make face-to-face contact or failed to make reasonable attempts to contact Defendants face-to-face as required by 24 C.F.R. § 203.604." Universal did not reply to this new defense.

Following trial, the trial court granted the Derouins' motion for involuntary dismissal based on an evidentiary issue not before us. Universal moved for rehearing. The Derouins opposed that motion, arguing that there were several alternative bases supporting dismissal, including Universal's failure to comply with HUD's face-to-face meeting requirement.

The trial court granted Universal's rehearing motion, finding that the Derouins had "waived their right to seek compliance with 24 C.F.R. § 203.604." The trial court relied on Ms. Derouin's trial testimony "that shortly after the default, she received a telephone call from the Plaintiff or Plaintiff's servicer and that she no longer wished to deal directly with [them]." The trial court observed that the Derouins "were not prejudiced by the lack of a [face-to-face] meeting," and that Universal could [**5] not reasonably be

¹ These regulations, pertaining to FHA-backed loans to "high-risk borrowers," ensure that the lender "would engage in 'loss mitigation' measures . . . with the defaulting borrower, before foreclosing." *U.S. ex rel. Advocates for Basic Legal Equality, Inc. v. U.S. Bank, N.A.*, 816 F.3d 428, 429 (6th Cir. 2016).

expected to engage in such a meeting "[a]fter Ms. Derouin communicated to [Universal] that she was not to be contacted directly." The trial court awarded Universal a final judgment of foreclosure.

Standards of Review

The record compels us to employ several standards of review. To the extent that we review the trial court's interpretation of the note, we utilize de novo review. *See Mgmt. Comput. Controls, Inc. v. Charles Perry Constr., Inc.*, 743 So. 2d 627, 630 [*599] (Fla. 1st DCA 1999) ("[A] decision interpreting a contract presents an issue of law that is reviewable by the de novo standard of review."). "However, the trial court's order in this case is based-at least in part-on findings of fact and legal conclusions regarding an alleged [waiver]. We defer to the [trial] court's findings of fact when they are based on competent, substantial evidence." *U.S. Bank Nat'l Ass'n v. Rios*, 166 So. 3d 202, 207 (Fla. 2d DCA 2015). Yet, we are not obligated "to disregard record evidence that disproves the lower court's findings or that reveals its ruling to be an abuse of discretion." *In re Doe*, 932 So. 2d 278, 284 (Fla. 2d DCA 2005).

Because the trial court's grant of rehearing, which vacated the prior dismissal order and resulted in entry of a final judgment, was not based upon competent substantial evidence, we reverse. Moreover, because our de novo review of the note demonstrates that involuntary [**6] dismissal was appropriate, we order such relief on remand. *See Simpson v. State*, 33 So. 3d 776, 778 (Fla. 4th DCA 2010) ("The standard of review of a trial court's denial of a motion to dismiss is de novo."); *Perez v. Perez*, 973 So. 2d 1227, 1231 (Fla. 4th DCA 2008) ("An involuntary dismissal is properly entered only where the evidence considered in the light most favorable to the non-moving party fails to establish a prima facie case."); *Robinson v. Wright*, 425 So. 2d 589, 589 (Fla. 3d DCA 1982) ("Where no evidence [i]s presented in a non-jury trial to establish a prima facie case, it [i]s proper to grant defendant's motion . . . for involuntary dismissal . . .").

Analysis

I. 24 C.F.R. § 203.604 as a condition precedent

The parties tacitly agree that the face-to-face meeting requirement is a condition precedent to filing a foreclosure lawsuit. For purposes of this appeal, we assume the same. *See, e.g., ARC HUD I, LLC v. Ebbert*, 212 So. 3d 513, 515-16 (Fla. 2d DCA 2017) (reversing an award of summary judgment because the mortgagee created an issue of material fact as to whether an exception applied to the "condition precedent" of a face-to-face interview); *White v. Planet Home Lending, LLC*, 234 So. 3d 802, 803 n.1 (Fla. 4th DCA 2018) ("Absent evidence that Appellee engaged in a face-to-face interview with Appellant before the former filed its foreclosure complaint or that any exception to the interview requirement applied, it would be appropriate to enter an involuntary dismissal of Appellee's foreclosure complaint." [**7] (citing *McIntosh v. Wells Fargo Bank, N.A.*, 226 So. 3d 377, 379 (Fla. 5th DCA 2017))); *Harris v. U.S. Bank Nat'l Ass'n*, 223 So. 3d 1030, 1032 (Fla. 1st DCA 2017) (holding that compliance with face-to-face meeting requirement was a condition precedent to initiating foreclosure action); *Palma v. JPMorgan Chase Bank, Nat'l Ass'n*, 208 So. 3d 771, 773, 775 (Fla. 5th DCA 2016) (holding that mortgage language providing, in the event of a default, the debt could be accelerated "except as limited by regulations of the Secretary . . . of Housing and Urban Development" incorporated the

federal regulations, including the face-to-face interview requirement, as a condition precedent to filing suit); *cf. Laws v. Wells Fargo Bank, N.A.*, 159 So. 3d 918, 919 (Fla. 1st DCA 2015) (reversing mortgagee's award of summary judgment because mortgagor was "entitled to raise failure to comply with [HUD regulations] as a valid defense to foreclosure").

Seemingly, the case law is unsettled as to whether noncompliance with the regulations must be raised as an affirmative defense or as a specific denial in an answer. *Compare Palma*, 208 So. 3d at 774 ("We find that the trial court erred by requiring [*600] Appellant to raise Bank's noncompliance with section 203.604 as an affirmative defense."), *with Harris*, 223 So. 3d at 1033 ("A 'defending party's assertion that a plaintiff has failed to satisfy conditions precedent necessary to trigger contractual duties under an existing agreement is generally viewed as an *affirmative defense*, for which the defensive pleader has the burden of pleading [*8] and persuasion." (quoting *Custer Med. Ctr. v. United Auto. Ins. Co.*, 62 So. 3d 1086, 1096 (Fla. 2010))). *But see Chruszcz v. Wells Fargo Bank, N.A.*, 250 So. 3d 766, 767, 43 Fla. L. Weekly D1486, D1487 (Fla. 1st DCA 2018) ("Here, as in *Palma*, where the Bank asserted in the complaint that all conditions precedent had been satisfied, but the Borrower denied that assertion with the specific claim that the Bank failed to meet the face-to-face counseling requirement of section 203.604, the burden of proving the condition precedent was shifted back to the Bank.").

We need not weigh in on the conflict. *See Pagan v. Sarasota Cty. Pub. Hosp. Bd.*, 884 So. 2d 257, 264 (Fla. 2d DCA 2004) ("It is a long-standing rule of appellate jurisprudence that the appellate court should not undertake to resolve issues which, though of interest to the bench and bar, are not dispositive of the particular case before the court."). As the Derouins inform us, "in an abundance of caution" they raised noncompliance as both an affirmative defense and as a specific denial.² Consequently, as the pleadings progressed below, Universal had to demonstrate its compliance with the regulations or that its compliance was excused. *See McIntosh*, 226 So. 3d at 379 ("Here, Borrowers raised noncompliance with § 203.602 and the terms of the note and mortgage as both a specific denial and an affirmative defense. Thus, the burden remained on Wells Fargo to demonstrate compliance with the applicable HUD regulations."). [*9] As we shall explain, Universal demonstrated neither.

II. Whether the Derouins waived compliance

Whether the Derouins waived Universal's compliance with the face-to-face meeting requirements begets an antecedent inquiry of whether the trial court could consider the issue.

A. Universal did not avoid the noncompliance affirmative defense

"In pleading to a preceding pleading a party shall set forth affirmatively . . . waiver, and any other matter constituting an avoidance or affirmative defense." Fla. R. Civ. P. 1.110(d) (emphasis added). "As a matter of law, waiver . . . [is an] affirmative defense[] *that must be pleaded.*" *Louie's Oyster, Inc. v. Villaggio Di*

² The Derouins sufficiently pleaded their claims that Universal failed to comply with the face-to-face meeting requirement. *See Fla. R. Civ. P. 1.120(c)* ("In pleading the performance or occurrence of conditions precedent, it is sufficient to aver generally that all conditions precedent have been performed or have occurred. *A denial of performance or occurrence shall be made specifically and with particularity.*" (emphasis added)); *see also Bank of Am., N.A. v. Asbury*, 165 So. 3d 808, 810 (Fla. 2d DCA 2015) ("A defendant, as the responding party, shoulders the responsibility of identifying a specific, unfulfilled condition precedent should it wish to deny that general averment.").

Las Olas, Inc., 915 So. 2d 220, 223 (Fla. 4th DCA 2005) (emphasis added). Once the Derouins raised noncompliance as an affirmative defense, Universal should have replied if it sought to avoid the defense. "If an answer . . . contains an affirmative defense and the opposing party seeks to avoid it, the opposing party must file a reply containing the avoidance." Fla. R. Civ. P. 1.100(a); *see, e.g., Reno v. Adventist Health Sys./Sun-Belt, Inc.*, 516 So. 2d 63, 64-65 [*601] (Fla. 2d DCA 1987) ("[A] reply to an affirmative defense is necessary only in order to entitle the plaintiff to, in effect, prove an affirmative defense to an affirmative defense."); *see also Kitchen v. Kitchen*, 404 So. 2d 203, 205 (Fla. 2d DCA 1981) ("[I]t [*10] is only when 'new matter' is sought to be asserted to avoid the affirmative defense that a reply is required. Consequently, where, as here, the plaintiff does not seek to avoid the substantive allegation of the defendant's affirmative defense, he need not file . . . a reply."); *Lazar v. Allen*, 347 So. 2d 457, 458 (Fla. 2d DCA 1977) ("Where a party files no reply to an affirmative defense, this merely denies (as opposed to avoids) the affirmative defense." (citing Fla. R. Civ. P. 1.110(e))).

After all, "[l]itigants in civil controversies must state their legal positions within a particular document, a pleading, so that the parties and the court are absolutely clear what the issues to be adjudicated are." *Bank of Am., N.A. v. Asbury*, 165 So. 3d 808, 809 (Fla. 2d DCA 2015). "An issue that has not been framed by the pleadings, noticed for hearing, or litigated by the parties is not a proper issue for the court's determination." *Gordon v. Gordon*, 543 So. 2d 428, 429 (Fla. 2d DCA 1989). Because Universal failed to address the waiver issue by reply to an affirmative defense, the trial court could not award Universal relief on such a basis. *See, e.g., Wolowitz v. Thoroughbred Motors, Inc.*, 765 So. 2d 920, 923 (Fla. 2d DCA 2000) ("Since the defense was waived, it should not have been considered by the trial court, much less used as the basis for granting summary judgment."); *Frisbie v. Carolina Cas. Ins. Co.*, 162 So. 3d 1079, 1081 (Fla. 5th DCA 2015) ("Here, because Appellee raised the issue of unclean hands as an avoidance of Appellants' [*11] two affirmative defenses, Appellee should have pleaded the issue in a reply to Appellants' answer . . ."); *Boca Golf View, Ltd. v. Hughes Hall, Inc.*, 843 So. 2d 992, 993 (Fla. 4th DCA 2003) ("The trial court erred when it relied on a defense not raised by the pleadings to grant the motion for involuntary dismissal.").

B. The Derouins' specific denial

Universal fares no better against the Derouins' specific allegation that it "[f]ailed to make face-to-face contact or failed to make reasonable attempts to contact [the Derouins] face-to-face as required by 24 C.F.R. § 203.604." Their specific denial shifted the burden to Universal to prove compliance or an exception to compliance. *See Nelson v. Hillsborough County*, 189 So. 3d 1037, 1039 (Fla. 2d DCA 2016) ("Provided such compliance is specifically denied by the defendant, the burden shifts 'to the plaintiff to prove the allegations concerning the subject matter of the specific denial.'" (quoting *Sheriff of Orange Cty. v. Boulthée*, 595 So. 2d 985, 987 (Fla. 5th DCA 1992))). Universal failed on both fronts. *See* 24 C.F.R. § 203.604(c)(3), (5). Although the trial court's order granting Universal's rehearing motion failed to specify which of the five enumerated exceptions it relied on to find waiver, subsections (3) and (5)³ most aptly apply. *See* 24 C.F.R. § 203.604(c)(1)-(5).

³ 24 C.F.R. § 203.604(c)(3) provides that a face-to-face meeting is not required if "[t]he mortgagor has clearly indicated that he will not cooperate in the interview." Further, 24 C.F.R. § 203.604(c)(5) excuses the face-to-face meeting when "[a] reasonable effort to arrange a meeting is unsuccessful."

i. 24 C.F.R. § 203.604(c)(3)

At trial, Ms. Shannon Georgantas, a senior staff account manager for Universal, admitted that Universal paid no visit to the Derouins' residence for the purpose [*602] of conducting the face-to-face [**12] meeting. Elaine Marie Henning, an employee of Universal's loan servicer, conceded that neither Universal nor its servicer requested a face-to-face meeting with the Derouins in the three-month period following their initial default.

Ms. Henning testified that the servicer's records reflected that the servicer called the Derouins' residence roughly forty-five days after default. Apparently, Ms. Derouin instructed the servicer to "only contact [the Derouins'] attorney, he is now handling everything She will not speak or give any info to us." Ms. Henning offered that the servicer did not "go out and knock on the Derouin[s]' door" because "[w]e were told to direct everything to her attorney." Curiously, the servicer continued to mail letters directly to the Derouins. Ms. Henning admitted that there had been no request of the Derouins, or their attorney, for the required face-to-face meeting.

Ms. Derouin testified that the servicer never offered a face-to-face meeting. She also testified that she never told Universal or its servicer that she was unwilling to conduct a face-to-face meeting "because they didn't offer." Ms. Derouin readily admitted, that when she spoke on the phone with [**13] the servicer, she "told them that I contacted an attorney and they should direct all questions to the attorney." She denied that she "ever indicated to them that [she was] no longer open to a face-to-face meeting notwithstanding [she] hired an attorney."

We cannot say that the Derouins clearly indicated that they would not engage in the face-to-face meeting. Indeed, if Universal never offered such an opportunity, it cannot be the case that the Derouins demonstrated a reluctance or refusal to meet sufficient to excuse Universal's obligations. We are even less inclined to conclude that Ms. Derouin's statement that Universal or its servicer should speak to her lawyer constitutes a clear indication that she was unwilling to cooperate in the face-to-face interview. There was no evidence Universal or its servicer was prohibited from asking the Derouins for a face-to-face meeting through their attorney, nor was there any evidence that the Derouins would not participate in one if asked.

In an apparent effort to buttress its waiver finding, the trial court pointed out that the Derouins "had no interest in mediation." Section 203.604 does not mandate postfiling mediation. Ms. Derouin's rejection of mediation [**14] after suit was filed is not indicative of her willingness to meet face-to-face prior to filing. In any event, postfiling actions cannot cure Universal's failure to comply with section 203.604. A party's right to sue "must be measured by the facts as they exist when the suit was instituted," *Voges v. Ward*, 98 Fla. 304, 123 So. 785, 793 (Fla. 1929) (holding that party did not have a right to repossess a car when it filed suit before it possessed the notes necessary to have the right to repossession under the contract).

ii. 24 C.F.R. § 203.604(c)(5)

Section 203.604(c)(5) excuses the face-to-face meeting requirement where "[a] reasonable effort to arrange a meeting is unsuccessful." However, this presupposes that an effort was made. Universal's witnesses, Ms. Georgantas and Ms. Henning, as well as Ms. Derouin, testified that neither Universal nor

its servicer made any such effort. Thus, the trial court's finding of waiver is unsupported under this claimed exception.

III. Trial by consent

Universal urges that the parties tried the waiver issue by consent. *See* Fla. R. Civ. P. 1.190(b) ("When issues not [*603] raised by the pleadings are tried by express or implied consent of the parties, they shall be treated in all respects as if they had been raised in the pleadings.").

An exception to the rule requiring relief to be pled is if the issue [**15] is tried by consent of the parties. "When issues not raised by the pleadings are tried by express or implied consent, they shall be treated in all respects as if they had been raised in the pleadings." An issue is tried by consent "when there is no objection to the introduction of evidence on that issue."

Fed. Home Loan Mortg. Corp. v. Beekman, 174 So. 3d 472, 475 (Fla. 4th DCA 2015) (first quoting Fla. R. Civ. P. 1.190(b); then quoting *Scariti v. Sabillon*, 16 So. 3d 144, 145-46 (Fla. 4th DCA 2009)). We reject Universal's position.

Although an unpleaded issue may be tried by consent when a party fails to object to the introduction of evidence on that issue:

[I]n order to rely on questions and answers not objected to during trial as evidencing the opposing party's implied consent to try unpled issues, it must be shown that such questions and answers are irrelevant to any pled issues; the failure to object cannot be taken as implied consent to try unpled issues when there is no occasion for such party to object that such evidence is irrelevant to the issues being tried.

Bilow v. Benoit, 519 So. 2d 1114, 1116 (Fla. 1st DCA 1988). Stated differently, "[a] failure to object cannot be construed as implicit consent to try an unpled theory when the evidence introduced is relevant to other issues properly being tried." *Raimi v. Furlong*, 702 So. 2d 1273, 1285 (Fla. 3d DCA 1997); *see also Nichols v. Michael D. Eicholtz Enters.*, 750 So. 2d 719, 720 (Fla. 5th DCA 2000) ("We reject appellee's argument that the parties tried the unpled action on an express [**16] contract by implied consent because an unpled theory may not be tried by implied consent when the evidence presented at trial is relevant to other issues which are properly being tried.").

Universal argues that the Derouins consented to try the waiver issue by presenting evidence of Ms. Derouin's request that Universal or its servicer contact her attorney. However, this evidence was relevant to the Derouins' pleaded affirmative defense that Universal failed to make a reasonable effort to arrange a face-to-face meeting. *See* 24 C.F.R. § 203.604(c)(3), (5). The evidence was unrelated to Universal's unpleaded avoidance.

In further support of its trial by consent argument, Universal notes the trial court's request for posttrial written memoranda on the waiver issue. Universal apparently maintains that the Derouins' failure to contemporaneously object to the trial court's request evidenced that the parties tried the waiver issue by consent.

This argument is unavailing for two reasons. First, because the trial court sought *written* argument on the issue, we cannot conceive of why the Derouins would have been required to lodge a contemporaneous *oral* objection. Second, in accordance with the trial court's request, the Derouins [**17] explained in their written memorandum that waiver was unavailable as an avoidance because Universal did not plead it. To the extent a contemporaneous objection is even necessary to prevent an unpleaded issue from being tried by consent, we believe that the Derouins' written closing argument was tantamount to such an objection. *See, e.g., Da Cunha v. Mann*, 183 So. 3d 1113, 1115-16 (Fla. 3d DCA 2015) (stating that an issue was not tried by consent when the opposing party raised an objection upon receipt of the written order); *cf. Givens v. Holmes*, 241 So. 3d 232, 235 (Fla. 2d DCA 2018) (explaining that [*604] failure to raise contemporaneous objection did not preclude appellate review of issue "[b]ecause the trial court abruptly ended the hearing without articulating any findings or announcing the particular terms of the final judgment").

Further, in their opening statement at trial, the Derouins proclaimed that "there is no valid excuse for [Universal]'s noncompliance. They haven't raised it in the pleadings." This was sufficient to alert both the trial court and Universal that the Derouins had no intent to allow for the waiver issue to be tried by consent. *Cf. Arky, Freed, Stearns, Watson, Greer, Weaver & Harris, P.A. v. Bowmar Instrument Corp.*, 537 So. 2d 561, 563 (Fla. 1988) ("We cannot see the difference between objecting to the introduction of the evidence pertaining to an unpled claim at trial or by a motion in limine [**18] immediately prior to the trial. The effect is the same-calling the court's attention to the fact that an unpled claim is not being tried by consent . . .").

Conclusion

Because the parties agree that compliance with 24 C.F.R. § 203.604 is a condition precedent to foreclosure, and the trial court erred in finding that the Derouins waived Universal's compliance with the HUD regulations, we reverse and remand for entry of an order of involuntary dismissal.

Reversed and remanded with instructions.

LUCAS and ROTHSTEIN-YOUAKIM, JJ., Concur.

End of Document

Frisco v. State Farm Fla. Ins. Co.

Court of Appeal of Florida, Second District

December 3, 2025, Decided

No. 2D2024-0464

Reporter

2025 Fla. App. LEXIS 9130 *; 2025 LX 568749; 50 Fla. L. Weekly D 2563; 2025 WL 3466524

CHAD FRISCO and MONIQUE FRISCO, Appellants, v. STATE FARM FLORIDA INSURANCE COMPANY, Appellee.

Prior History: [*1] Appeal from the Circuit Court for Pasco County; Declan P. Mansfield, Judge.

Core Terms

notice, farm, civil remedy, bad faith, trial court, waive, summary judgment, cure, affirmative defense, contractual, condition precedent, reply, bad faith claim, policy language, specific policy, extra-contractual, alleged violation, appraisal, lawsuit, attorney's fees, good faith, extracontractual, summary judgment motion, relevant policy, give rise, contractor, claimant, unrecoverable

Case Summary

Overview

Key Legal Holdings

- State Farm waived its right to argue that the Friscos' CRN was legally deficient for demanding attorney's fees and costs by failing to raise this objection in its response to the CRN or at any time before arguing its motion for summary judgment more than four years after the CRN was filed.
- The Friscos properly filed a CRN before initiating their bad faith lawsuit against State Farm, satisfying the condition precedent required by Florida law.

Material Facts

- The Friscos filed a water damage claim with State Farm in April 2018.
- State Farm initially paid \$10,759.47 but allegedly ceased meaningful communication after the Friscos submitted their contractor's estimate.
- The Friscos filed a CRN alleging bad faith, followed by a breach of contract lawsuit.
- State Farm demanded appraisal, resulting in an award of \$80,707.81.
- State Farm responded to the CRN in March 2019 without objecting to the demand for attorney's fees and costs.

- State Farm first raised the issue of the CRN's alleged deficiency regarding attorney's fees in its renewed motion for summary judgment years later.

Controlling Law

- Section 624.155, Florida Statutes (2024), which provides a civil remedy for an insurer's bad faith; *Vachon v. Travelers Home & Marine Ins.*, 403 So. 3d 451 (Fla. 2d DCA 2025); *Talat Enterprises, Inc. v. Aetna Casualty & Surety Co.*, 753 So. 2d 1278 (Fla. 2000).

Court Rationale

The court reasoned that it is well-settled that an insurer responding to the merits of an insured's CRN without raising defects waives the right to object later. State Farm responded to the merits of the Friscos' CRN without complaining about the inclusion of a demand for attorney's fees and costs, thus waiving its right to that argument. The court rejected the trial court's burden-shifting rationale and found that State Farm's waiver was dispositive, necessitating reversal.

Outcome

Procedural Outcome

The Florida Second District Court of Appeal reversed the final summary judgment granted in favor of State Farm and remanded to the circuit court for further proceedings consistent with the opinion.

LexisNexis® Headnotes

Civil Procedure > Appeals > Standards of Review > De Novo Review

Governments > Legislation > Interpretation

Insurance Law > Liability & Performance Standards > Bad Faith & Extracontractual Liability

Civil Procedure > ... > Summary Judgment > Appellate Review > Standards of Review

Civil Procedure > Appeals > Standards of Review > Questions of Fact & Law

***HNI* Standards of Review, De Novo Review**

Final summary judgment based upon a pure question of law, such as a trial court's interpretation of Fla. Stat. § 624.155, is reviewed de novo. Judicial interpretation of a statute is a pure question of law requiring a de novo standard of review.

Insurance Law > Liability & Performance Standards > Bad Faith & Extracontractual
Liability > Elements of Bad Faith

HN2 Bad Faith & Extracontractual Liability, Elements of Bad Faith

Section 624.155(1)(b)(1), Florida Statutes (2024), provides a civil remedy for an insurer's bad faith.

Insurance Law > Liability & Performance Standards > Notice to Insurers > Actual Knowledge &
Notice

Insurance Law > Liability & Performance Standards > Notice to Insurers > Conditions Precedent

Insurance Law > Liability & Performance Standards > Bad Faith & Extracontractual Liability

HN3 Notice to Insurers, Actual Knowledge & Notice

As a condition precedent to filing a bad faith lawsuit, an insured must file a civil remedy notice (CRN), which places the insurer and the Department of Financial Services on notice of an insurer's alleged violations. Fla. Stat. § 624.155(3)(a).

Insurance Law > Liability & Performance Standards > Notice to Insurers > Actual Knowledge &
Notice

Insurance Law > Liability & Performance Standards > Settlements > Good Faith & Fair Dealing

Insurance Law > Liability & Performance Standards > Bad Faith & Extracontractual
Liability > Payment Delays & Denials

HN4 Notice to Insurers, Actual Knowledge & Notice

The filing of the civil remedy notice (CRN) triggers a sixty-day cure period in which the insurer may pay damages to the insured or otherwise correct the alleged violations. Fla. Stat. § 624.155(3)(c). When an insurer does not pay a claim within sixty days of the date the CRN was electronically filed with the Department, it has not paid the claim within the sixty-day cure period, and the insured is entitled to pursue an action for the insurer's alleged bad faith.

Insurance Law > Liability & Performance Standards > Notice to Insurers > Actual Knowledge &
Notice

Insurance Law > Claim, Contract & Practice Issues > Appraisals

Insurance Law > ... > Coverage > Real Property > Appraisals

Insurance Law > Liability & Performance Standards > Settlements > Policy Coverage

Insurance Law > Liability & Performance Standards > Settlements > Good Faith & Fair Dealing

HN5 Notice to Insurers, Actual Knowledge & Notice

Seeking an appraisal is not a cure to a failure to attempt to timely settle a claim in good faith. An insurer's payment of an appraisal award does not automatically alleviate the insurer of its potential liability for bad faith. An insured is not required to wait for a determination of liability or damages via the appraisal process to file a civil remedy notice, nor is the insurer's appropriate response to that notice dependent on such a determination. An insurer must evaluate an insured's claim based upon proof of loss required by the policy and its expertise. The insurer must act reasonably and in good faith in evaluating the claim. The focus in a bad faith case is not whether the insurer ultimately paid the amounts due under the policy, but whether it acted reasonably in evaluating the claim prior to the determination of damages. The insurer's statutory duty to act in good faith is distinct from its contractual duties to its insured, which are dictated by the terms of the policy.

Insurance Law > Liability & Performance Standards > Notice to Insurers > Actual Knowledge & Notice

HN6 Notice to Insurers, Actual Knowledge & Notice

An insurer that responds to the merits of an insured's civil remedy notice without raising defects in the notice waives the right to make any such objection later. This is a logical extension from the long-established principle that one can waive any contractual, statutory or constitutional right including prelitigation notice requirements—a party can engage in conduct that either waives the inadequacy of a notice or estops it from raising the inadequacy later.

Counsel: Blair M. Fazzio and Jeffrey D. Groover of Kanner & Pinaluga, P.A., Boca Raton, for Appellants.

Paul L. Nettleton and Katarina Dobsinska of Carlton Fields, Miami, for Appellee.

Judges: VILLANTI, Judge. LAROSE, J., Concurr. ATKINSON, J., Concurr in result only.

Opinion by: VILLANTI

Opinion

VILLANTI, Judge.

Chad and Monique Frisco appeal the final summary judgment granted in favor of State Farm Florida Insurance Company in their bad faith lawsuit below. Because State Farm waived its defense upon which the trial court based its ruling, we reverse the final judgment and remand to the circuit court for further proceedings consistent with this opinion. Because we hold that the Friscos' waiver argument was dispositive and necessitates reversal, we need not examine the remaining issues presented on appeal.

The Friscos own a home in Odessa that was insured by State Farm. In April 2018, they submitted a claim to State Farm for water intrusion damages that occurred after a contractor who was remodeling their home left the roof exposed. State Farm accepted the claim and authorized the Friscos to obtain the services of a mitigation company. The insurer also [*2] issued payment of \$10,759.47 to the Friscos for property damage. Shortly after, State Farm advised the Friscos that there was "no coverage under the policy for poor workmanship or mold remediation" and that they should avoid taking any action that would hinder State Farm's subrogation claims against the contractors responsible for the water intrusion into the Friscos' home.

State Farm also advised the Friscos to hire a general contractor to prepare an estimate of repairs so that State Farm could adjust the claim. They complied with the directive, and in January 2019 they sent the "Exactimate" prepared by their contractor to their State Farm adjuster. The Friscos allege that State Farm never acknowledged the documentation—continuing its pattern of lack of meaningful communication—and essentially ceased further adjustment of the claim. When the Friscos learned that their original contractor had placed a lien upon their property, they reported the claim to State Farm and asked that the insurer defend them against the contractor's claims. State Farm declined to do so.

Frustrated by State Farm's lack of response, the Friscos filed a civil remedy notice (CRN) with the Department of Financial [*3] Services alleging that State Farm had acted in bad faith in handling their claim, thereby violating sections 624.155 and 626.9541, Florida Statutes (2019). The Friscos alleged that State Farm delayed their claim, utilized unfair trade practices, failed to provide them with a certified copy of their policy, made an unsatisfactory settlement offer, and failed to defend them from a construction lien claim made by their contractor. In short order, the Friscos then filed a breach of contract lawsuit against State Farm.

State Farm responded by demanding an appraisal, arguing that the parties disputed the amount of damages but not coverage under the policy. The trial court ordered the appraisal, but it was not finalized until December 2019—a delay that was attributed, the Friscos allege, to State Farm's refusal to adhere to the court-imposed deadlines. State Farm paid to the Friscos the final payment toward its appraisal award amount of the damages covered under the dwelling portion of the policy in January 2020.¹

Meanwhile, on March 22, 2019, against the backdrop of the breach of contract lawsuit, State Farm responded through its counsel to the CRN. State Farm's counsel wrote that the insurer "specifically denie[d] [the Friscos'] allegations" [*4] and that State Farm had acted in good faith and in accordance with its statutory duties. The correspondence did not mention any perceived issue or deficiency with the CRN itself or the Friscos' demand for attorney's fees and costs contained within the CRN.

In August 2020, the Friscos filed their bad faith lawsuit against State Farm, which is the underlying lawsuit here. State Farm did not file a timely answer following the parties' agreed order for an extension of time to do so but instead moved for dismissal of the complaint or alternatively, summary judgment. In its accompanying memorandum of law, State Farm alleged for the first time that the CRN was deficient because it was not specific enough to provide State Farm with the opportunity to cure its alleged violations. State Farm also argued that the Friscos provided only "conclusory allegations" of the insurer's alleged violations. The Friscos responded to the summary judgment motion that State Farm had waived

¹ The appraisal award totaled \$80,707.81.

any argument to the legal sufficiency of the CRN by not raising it before. The trial court denied State Farm's motion to dismiss or for summary judgment and ordered State Farm to file its answer to the complaint. Notably, State [*5] Farm argued that the Friscos' CRN did "not provide the requisite specificity as to the facts and circumstances giving rise to the alleged violations" and "[a]s such, the CRN was legally insufficient to carry out the purpose of the notice and cure provisions of [section 624.155]." But still, no mention was made of the Friscos' demand for attorney's fees and costs.

It was not until two years later, in its renewed motion for summary judgment, that State Farm argued for the first time that the CRN was legally deficient because it demanded as a cure "extra-contractual damages" in the form of attorney's fees and costs. State Farm based its argument on the Florida Supreme Court's holding in *Talat Enterprises, Inc. v. Aetna Casualty & Surety Co.*, 753 So. 2d 1278 (Fla. 2000).

After a hearing on the motion, the trial court granted summary judgment in favor of State Farm, concluding that the CRN was "legally deficient" because it "impermissibly required State Farm to pay extra-contractual damages, such as attorney's fees and costs," contrary to *Talat*. According to the trial court, to require payment of these damages outside an insured's policy to "cure" alleged violations would render illogical results because "[section 624.155] cannot reasonably be construed to require payment of extra-contractual damages [*6] to avoid bad-faith litigation." This appeal followed.

Analysis

HN1 We review the final summary judgment in favor of State Farm de novo because it is based upon a pure question of law: the trial court's interpretation of section 624.155. *See Major League Baseball v. Morsani*, 790 So. 2d 1071, 1074 (Fla. 2000); *see also Ellsworth v. State*, 89 So. 3d 1076, 1077 n.1 (Fla. 2d DCA 2012) ("Judicial interpretation of [a] statute is a pure question of law and we must therefore use a de novo standard of review.").

HN2 Section 624.155(1)(b)(1), Florida Statutes (2024), provides a civil remedy for an insurer's bad faith and provides as follows:

(1) Any person may bring a civil action against an insurer when such person is damaged:

....

(b) By the commission of any of the following acts by the insurer:

1. Not attempting in good faith to settle claims when, under all the circumstances, it could and should have done so, had it acted fairly and honestly toward its insured and with due regard for her or his interests

HN3 As a condition precedent to filing a bad faith lawsuit, an insured must file a CRN, which places the insurer and the Department of Financial Services on notice of an insurer's alleged violations. § 624.155(3)(a); *see also Fortune v. First Protective Ins.*, 302 So. 3d 485, 489 (Fla. 2d DCA 2020) (discussing the statutory prerequisites to filing a bad faith claim against an insurer).

HN4 The filing of the CRN triggers a sixty-day cure period in which the insurer may pay [*7] damages to the insured or otherwise correct the alleged violations. § 624.155(3)(c); *see Harper v. GEICO Gen. Ins.*,

272 So. 3d 448, 452 (Fla. 2d DCA 2019) ("[B]ecause GEICO did not pay Harper's claim within sixty days of the date the CRN was electronically filed with the Department, it did not pay the claim within the sixty-day cure period, and Harper was entitled to pursue her action for GEICO's alleged bad faith.>").

HN5 However, "seeking an appraisal is not a cure to a failure to attempt to timely settle a claim in good faith." *Fortune*, 302 So. 3d at 490. This court has recognized that an insurer's payment of an appraisal award does not automatically alleviate the insurer of its potential liability for bad faith. *See Williams v. State Farm Fla. Ins.*, 346 So. 3d 79, 81 (Fla. 2d DCA 2022); *Fortune*, 402 So. 3d at 491; *see also Zaleski v. State Farm Fla. Ins.*, 315 So. 3d 7, 13 (Fla. 4th DCA 2021). Further, an insured is not required to wait for a determination of liability or damages via the appraisal process to file a CRN, "[n]or is the insurer's appropriate response to that notice depend[en]t on such a determination." *Fortune*, 302 So. 3d at 489 (second alteration in original) (quoting *Vest v. Travelers Ins.*, 753 So. 2d 1270, 1275 (Fla. 2000)). Rather, "[a]n insurer . . . must evaluate an insured's claim based upon proof of loss required by the policy and its expertise." *Vest*, 753 So. 2d at 1275-76. The insurer must "act reasonably and in good faith in evaluating the claim." *Williams*, 346 So. 3d at 81. Accordingly, "the focus in a bad faith case is not whether the insurer ultimately paid [*8] the amounts due under the policy, but whether it acted reasonably in evaluating the claim prior to the determination of damages." *Id.* (quoting *Zaleski*, 315 So. 3d at 12). The insurer's statutory duty to act in good faith is distinct from its contractual duties to its insured, which are dictated by the terms of the policy. *Id.* at 82.

In this case, the trial court agreed with State Farm's argument that the Friscos' demand for attorney's fees and costs were "extra-contractual"—outside of the terms of the insurance policy—and therefore State Farm was placed in the position of having to cure a violation it was not required to perform in the first place. The trial court relied upon *Talat* in ruling in State Farm's favor.

In *Talat*, the Florida Supreme Court accepted the Eleventh Circuit's certified question of whether an insurer which pays all contractual damages under a policy upon service of a CRN within sixty days but does not pay extracontractual damages has cured "the circumstances giving rise to [a] violation" as contemplated by section 624.155(2)(d). *Talat*, 753 So. 2d at 1280. Reasoning that "[s]ection 624.155 does not impose on an insurer the obligation to pay whatever the insured demands," the court answered the question in the affirmative. *Id.* at 1284.

Aetna's insured Talat, a company [*9] that owned and operated a restaurant, had sustained fire damage. *Id.* at 1279. Aetna paid its insured approximately \$10,000 for damage to the property, and shortly after reopening, the restaurant was shut down by the health department for code violations stemming from the fire, resulting in significant business interruption. *Id.* Talat submitted proofs of loss establishing approximately \$140,000 in personal property loss and approximately \$290,000 in business interruption. *Id.* at 1280. Following court-ordered arbitration, Talat was awarded more than \$331,000 in damages, and Aetna paid the sum to Talat within a few weeks of the arbitration. *Id.* Shortly after, Talat filed its notice of civil remedy and intent to file a bad faith lawsuit against the insurer. *Id.* Aetna moved for summary judgment on the grounds that it was entitled to judgment as a matter of law because it had paid the entire arbitration amount due to Talat before the expiration of the sixty-day cure period. *Id.*

The court reasoned that "[i]n the context of a first-party insurance claim, the contractual amount due the insured is the amount owed pursuant to the express terms . . . of the policy after all of the conditions

precedent . . . are fulfilled" [*10] and that "section 624.155(2)(d) . . . cannot reasonably be construed to require payment of extra-contractual damages to avoid bad-faith litigation." *Id.* at 1283.

In this case, in addition to finding *Talat* controlling, the trial court found that State Farm had not waived its argument that the Friscos' CRN was legally deficient for demanding extracontractual damages because section 624.155 should be strictly construed, and to find that State Farm waived its argument would "improperly shift the burden under the statute from the claimant to the insurer."

We do not agree with the burden-shifting rationale, and we conclude that State Farm waived its right to argue the Friscos' allegedly deficient CRN by failing to raise it in its response or any other time before arguing its motion for summary judgment, more than four years after the Friscos filed the CRN. *HN6* It is well-settled that "an insurer that responds to the merits of an insured's CRN without raising defects in the notice waives the right to make any such objection later." *Vachon v. Travelers Home & Marine Ins.*, 403 So. 3d 451, 453 (Fla. 2d DCA 2025) (citing *Neal v. GEICO Gen. Ins.*, 358 So. 3d 749, 753 (Fla. 4th DCA 2023)); see *Bailey v. People's Trust Ins.*, 392 So. 3d 123, 125 (Fla. 4th DCA 2024); see *Bay v. United Servs. Auto. Ass'n*, 305 So. 3d 294, 299 (Fla. 4th DCA 2020). This is a logical extension from the also long-established principle that "one can waive any contractual, statutory or constitutional right . . . includ[ing] prelitigation notice requirements—a [*11] party can engage in conduct that either waives the inadequacy of a notice or estops it from raising the inadequacy later." *Vachon*, 403 So. 3d at 453 (quoting *Bay*, 305 So. 3d at 299); see *Ingersoll v. Hoffman*, 589 So. 2d 223, 224 (Fla. 1991) (holding that dentist who did not specifically deny patient's performance of condition precedent presuit statutory notice waived the right to use that as a defense to malpractice claim). As with the insurer in *Vachon*, State Farm "responded to the merits" of the Friscos' CRN and "made no complaint" about the inclusion of the Friscos' demand for attorney's fees and costs. It thus waived its right to that argument. See *id.* at 453-54.

Because State Farm waived its argument on the issue upon which the trial court granted summary judgment—State Farm's waiver—we remand to the trial court for further proceedings consistent with this opinion. We decline to address the additional issues raised on appeal.

Reversed and remanded.

LAROSE, J., Concur.

ATKINSON, J., Concur in result only.

Concur by: ATKINSON

Concur

ATKINSON, Judge, Concurring in result only.

The Friscos have not challenged on appeal the trial court's conclusion that because they did not plead their waiver theory in reply to State Farm's defense, they were not permitted to argue the issue of waiver at summary judgment. Thus, this court [*12] should not reach the question of whether State Farm waived the defense upon which it sought summary judgment. However, reversal is still warranted because State

Farm's defense fails on the merits and neither of its tipsy coachman arguments support an affirmance. Consequently, I respectfully concur in result only.

I.

State Farm defended the Friscos' bad faith insurance lawsuit in part on the basis that they failed to comply with a condition precedent. State Farm alleged that the Friscos' civil remedy notice was "deficient, inadequate and insufficient as a matter of law" because it "failed to specify" the alleged bad faith violations, the policy provisions allegedly breached, and "the alleged contractual damages owed." When State Farm later filed the motion for summary judgment that precipitated this appeal, State Farm argued that the Friscos' civil remedy notice was "legally deficient" for the discrete reason that "it impermissibly demanded State Farm pay unrecoverable extra-contractual damages, such as attorney's fees and costs." In their response to State Farm's motion for summary judgment, the Friscos countered in relevant part that State Farm waived the right to challenge the sufficiency [*13] of their civil remedy notice because State Farm failed to raise any defects with the notice in its response to the notice. The trial court granted summary judgment in favor of State Farm.

Consistent with the Friscos' argument on appeal, the majority concludes reversal is warranted "[b]ecause State Farm waived its defense upon which the trial court based its ruling." But the majority does not address the trial court's alternative ground for its ruling—which was raised by State Farm in its answer brief—that because the Friscos did not file a reply to State Farm's affirmative defenses, they were precluded from arguing at summary judgment that State Farm waived its defense regarding the sufficiency of the Friscos' civil remedy notice. "If an answer . . . contains an affirmative defense and the opposing party seeks to avoid it, the opposing party must file a reply containing the avoidance." Fla. R. Civ. P. 1.100(a). "An avoidance is an allegation of additional facts intended to overcome an affirmative defense." *Buss Aluminum Prods., Inc. v. Crown Window Co.*, 651 So. 2d 694, 695 (Fla. 2d DCA 1995) (citing *Kitchen v. Kitchen*, 404 So. 2d 203 (Fla. 2d DCA 1981)). In other words, a reply is needed when a plaintiff seeks to "prove an affirmative defense to an affirmative defense." *Reno v. Adventist Health Sys./Sunbelt, Inc.*, 516 So. 2d 63, 64-65 (Fla. 2d DCA 1987) (citing *In re Estate of Grant*, 433 So. 2d 681 (Fla. 5th DCA 1983)).

State Farm argues, and the trial court agreed, that because the [*14] Friscos sought to avoid State Farm's affirmative defense concerning the sufficiency of the civil remedy notice by establishing that State Farm's conduct amounted to a waiver of the defense, the Friscos were required to plead waiver in reply. See *Universal Prop. & Cas. Ins. v. Yager*, 413 So. 3d 786, 790-92 (Fla. 4th DCA 2025) (reversing trial court's partial summary judgment, which determined that the insurer "waived its lack of 'prompt notice' defense," because the insureds failed to timely reply to plead the issue of waiver); *Gamero v. Foremost Ins.*, 208 So. 3d 1195, 1196-97 (Fla. 3d DCA 2017) (concluding that the insured was precluded from arguing that the insurer "waived its right to rely on the marring exclusion" because the insured "failed to reply to, or avoid, this affirmative defense by alleging, as he does in this appeal, that the affirmative defense was waived by [the insurer's] conduct"); cf. Fla. R. Civ. P. 1.110(d) ("In pleading to a preceding pleading, a party must set forth affirmatively: . . . waiver, and any other matter constituting an avoidance or affirmative defense.").

However, this result would only obtain in the event that State Farm had *pleaded* the affirmative defense that it now claims could be avoided only by means of the Friscos filing a reply. State Farm did plead an affirmative defense that the Friscos failed to comply with [*15] a condition precedent because their civil remedy notice was deficient on several grounds—but not on the grounds on which the trial court ultimately granted summary judgment. State Farm waited until filing its summary judgment motion to assert the affirmative defense that the civil remedy notice was deficient *because it demanded extracontractual damages*. Therefore, with respect to the affirmative defense upon which State Farm sought summary judgment, there was nothing for the Friscos to avoid in a reply to the answer—and there was no way for the Friscos to waive their right to argue that avoidance at the summary judgment stage of the litigation when, for the first time, State Farm asserted the affirmative defense upon which it prevailed. In short, the Friscos should not have been faulted for failing to reply to an affirmative defense that State Farm did not plead.

Thus, the Friscos are correct, albeit for different reasons,² when they argue in their initial brief that "the trial court erred in finding any sort of waiver by the Friscos." However, the Friscos neglected to raise as an issue on appeal the trial court's conclusion that their failure to avoid the affirmative defense of waiver [*16] in a reply foreclosed their opposition to State Farm's affirmative defense based on the insufficient civil remedy notice. Further, the Friscos did not present any argument on appeal in reply to State Farm's appellate argument regarding their failure to file a reply in the trial court. Therefore, because the Friscos have not presented the specific argument on appeal that the trial court was wrong because no reply was necessary given State Farm's lack of pleading the civil remedy notice defense, the party presentation principle arguably prevents this court from considering such an argument. *See Williams v. State*, No. 5D2024-2334, 2025 Fla. App. LEXIS 5716, 2025 WL 2092230, at *2 (Fla. 5th DCA July 25, 2025) ("The principle provides that 'the scope and content of the judicial controversy are to be defined by the parties or, conversely, that the court is restricted to a consideration of what the parties have put before it.' " (first quoting Robert Wyness Millar, *The Formative Principles of Civil Procedure* 11 (Northwestern Univ. Press 1923); and then citing *Trappman v. State*, 384 So. 3d 742, 751 n.4 (Fla. 2024))); *see also D.H. v. Adept Cmty. Servs., Inc.*, 271 So. 3d 870, 888 (Fla. 2018) (Canady, J., dissenting) (contending that the party presentation principle requires "an argument to specifically be raised," otherwise "the appellee 'must not only respond to the specific reasons for reversal advanced by the [appellant] [*17] but also anticipate and respond to other reasons for reversal that may be advanced by the reviewing court' " (alteration in original) (quoting *I.R.C. v. State*, 968 So. 2d 583, 588 (Fla. 2d DCA 2007))).

However, we need not resolve this party presentation question because the trial court's grant of summary judgment was incorrect for another reason that was adequately raised by the Friscos on appeal: the precise civil remedy notice deficiency on which summary judgment was premised is not supported by the language of the statute or any binding decisional authority. In other words, the civil remedy notice was not deficient for the reason the trial court concluded it was. On the merits, the trial court was wrong to conclude that the Friscos' civil remedy notice was "legally deficient" on the basis that it required payment of "unrecoverable extra-contractual damages, such as attorney's fees and costs."

²The Friscos argue on appeal that they could have amended their complaint to address the waiver argument as an avoidance to State Farm's affirmative defense. But to avoid an affirmative defense, the rules of civil procedure mandate a reply. *See Fla. R. Civ. P. 1.100(a)* ("If an answer . . . contains an affirmative defense and the opposing party seeks to avoid it, the opposing party *must* file a reply containing the avoidance." (emphasis added)).

Section 624.155 specifies the form and content of an insured's civil remedy notice. The notice must be "on a form provided by the department." § 624.155(3)(b), Fla. Stat. (2019). And it must "state with specificity" (1) "[t]he statutory provision, including the specific language of the statute, which the authorized insurer allegedly violated"; (2) "[t]he facts and circumstances [*18] giving rise to the violation"; (3) "[t]he name of any individual involved in the violation"; (4) the "specific policy language that is relevant to the violation, if any"; (5) "that the notice is given in order to perfect the right to pursue the civil remedy authorized by" section 624.155; and (6) "such other information as the department may require." *Id.* If the insured has given the insurer at least sixty days' notice and stated with specificity these enumerated items, then the insured has complied with his or her "condition precedent to bringing an action under" section 624.155. *See* § 624.155(3)(a).

Specificity being explicitly required by the language of the statute, *see* § 624.155(3)(b) ("The notice . . . shall state with specificity the following information . . ."), the failure to meet that standard has been recognized as a deficiency that renders the notice inadequate to satisfy the condition precedent required to entitle a plaintiff to bring a bad faith action against an insurer. *See Demase v. State Farm Fla. Ins.*, 351 So. 3d 136, 138-39 (Fla. 5th DCA 2022) (concluding that the insured's civil remedy notice "was legally insufficient" because it "did not comply with section 624.155's specificity requirements"); *Julien v. United Prop. & Cas. Ins.*, 311 So. 3d 875, 879 (Fla. 4th DCA 2021) ("[W]e conclude the circuit court correctly determined that Julien failed to satisfy the requirement [*19] that the insured identify the specific statute and specific policy provision relevant to Universal Property's alleged violation."). However, research has not revealed any controlling case law supporting the proposition that the nonmeritoriousness of what the insured demands in a civil remedy notice to cure an alleged bad faith violation, whether extracontractual damages or otherwise, renders the notice deficient. Nor does the statutory language support such a proposition. As quoted above, the statute requires an insured to "state with specificity" various types of information. § 624.155(3)(b). While this "notice of the violation" is a "condition precedent to bringing an action," § 624.155(3)(a), the statute cannot be read to conclude that the condition precedent is unfulfilled if the allegations supporting the asserted violation are determined to be unsupported by statute or policy language.

Thus, by invalidating the Friscos' civil remedy notice as "legally deficient" on the basis that it demanded "unrecoverable extra-contractual damages," the trial court put the cart before the horse. The merits of an insured's bad faith claim—that is, whether the allegations do or do not constitute bad faith under the statute [*20] or whether damages are or are not owed to the insured under the policy—have no bearing on whether the insured has satisfied his or her condition precedent to notify the insurer of the alleged bad faith claim. The statutory condition precedent is to notify the insurer with specificity of what the alleged bad faith violation *is*. The fact that an insured states facts that may not ultimately constitute a violation of the bad faith statute or demands damages that may not ultimately be recoverable does not alter the fact that the insured has sent a statutorily compliant civil remedy notice. At the notice stage, the civil remedy statute imposes no requirement that the insured state a *meritorious* bad faith claim or even allege a legally sufficient one. To the contrary, it is only logical to presume that some insureds will notify insurers of bad faith claims upon which they will not ultimately prevail—whether because the underlying facts do not constitute bad faith or because certain demands are not available remedies under any applicable statutory or contractual provisions. Whether bad faith claims are legally sufficient or meritorious is a determination for the litigation stage.

The trial court [*21] relied on *Talat Enterprises, Inc. v. Aetna Casualty & Surety Co.*, 753 So. 2d 1278 (Fla. 2000), to support its conclusion that a civil remedy notice is "legally deficient" if it demands "unrecoverable extra-contractual damages." The supreme court in *Talat* held that an insurer who, upon receipt of a civil remedy notice, timely pays all contractual damages, but does not pay any extracontractual damages that were demanded in the notice, has nevertheless paid "the damages" or corrected "the circumstances giving rise to the violation" as described in section 624.155 such that it can cure an alleged bad faith violation and avoid litigation. *See id.* at 1280-81; *see also* § 624.155(3)(d) ("No action shall lie if, within 60 days after filing notice, the damages are paid or the circumstances giving rise to the violation are corrected."). In other words, the supreme court concluded that only "the contractual amount due" is what the insurer must pay within the sixty-day window to cure the alleged bad faith violation, regardless of whether an insured included in its notice a demand over and above that amount. *See Talat*, 753 So. 2d at 1283. But that conclusion in no way supports what the trial court concluded in this case—that a civil remedy notice is "legally deficient" if it demands "unrecoverable extra-contractual damages." The supreme court only [*22] spoke to what *the insurer* must do to cure an alleged bad faith violation, not what *the insured* must do to notify the insurer of an alleged bad faith violation and satisfy the condition precedent in section 624.155(3). Indeed, the supreme court said nothing whatsoever about the validity of a civil remedy notice or what content the civil remedy notice must or must not contain.

Moreover, in holding that an insurer only has to pay the contractual damages to cure an alleged bad faith violation, the supreme court approved the analysis of a federal magistrate judge that "[s]ection 624.155 does not impose on an insurer the obligation to pay whatever the insured demands." *Id.* at 1282 (quoting *Talat Enters., Inc. v. Aetna Cas. & Sur. Co.*, 952 F. Supp. 773, 778 (M.D. Fla. 1996)). In other words, no matter what the insured demands, the insurer only has to pay the contractual damages in order to cure the alleged bad faith violation. The supreme court's rationale in *Talat* does not support—and in fact undermines—the trial court's conclusion in this case because the rationale presupposed the validity of the insured's civil remedy notice. If the mere inclusion of a demand for "extra-contractual damages" in the civil remedy notice rendered it invalid, then there would have been no reason for the court to answer the question it [*23] did in *Talat*. In other words, it is nigh impossible to read the rationale of the *Talat* opinion without concluding that the court presumed that the civil remedy notice was statutorily sufficient despite the inclusion of extracontractual damages because the court presumed the insurer would be required to respond to it, the only question being *what* the response would be required to include as opposed to *whether* a response would be required at all. *Cf id.* at 1283 ("Section 624.155(1)(b), Florida Statutes (1993), then, is correctly read to authorize a civil remedy for extra contractual damages if a first-party insurer does not pay the contractual amount due the insured after all the policy conditions have been fulfilled within sixty days after a valid notice has been filed under section 624.155(2)(a), Florida Statutes (1993)."). The supreme court answered a question concerning the validity of the insurer's response to a civil remedy notice that demanded extracontractual damages, not the validity of the civil remedy notice itself.

Thus, statutory language and the Florida Supreme Court's analysis in *Talat* compel the conclusion that a determination of whether an insured has satisfied the condition precedent described in section 624.155(3) is not contingent on the insured's contractual entitlement [*24] to the demands contained in a civil remedy notice. Accordingly, I would conclude—contrary to the trial court—that State Farm's defense asserting the invalidity of the Friscos' civil remedy notice because it demanded extracontractual damages fails as a matter of law.

II.

State Farm raises two tipsy coachman arguments for affirmance, however. *See Dade Cnty. Sch. Bd. v. Radio Station WQBA*, 731 So. 2d 638, 644 (Fla. 1999) ("[I]f a trial court reaches the right result, but for the wrong reasons, it will be upheld if there is any basis which would support the judgment in the record."). State Farm argues that the Friscos' civil remedy notice was also legally deficient for failing to comply with the specificity requirements in section 624.155 because the Friscos failed to allege with specificity the facts and circumstances giving rise to the alleged bad faith violations and failed to reference the relevant policy language. *See* § 624.155(3)(b)2, (3)(b)4. Though State Farm did not raise these issues in the motion for summary judgment that precipitated the trial court's summary judgment on appeal, State Farm previously raised these issues in an alternative motion to dismiss or motion for summary judgment, which the trial court denied. Thus, these issues were raised and considered below and, consequently, [*25] the record is sufficiently developed to review them.³

State Farm's argument that the civil remedy notice lacked specificity as to the facts and circumstances giving rise to the alleged bad faith violations lacks merit. The notice provides a detailed account of the Friscos' interactions with State Farm and how and why the Friscos contend State Farm's conduct amounts to bad faith. However, a different deficiency noted by State Farm in its other argument is accurate—as far

³ Decisions from the First, Third, and Fifth District Courts of Appeal have concluded that the tipsy coachman doctrine does not apply to grounds not raised in the motion for summary judgment. *See, e.g., Seaside Town Council, Inc. v. Seaside Cmty. Dev. Corp.*, 347 So. 3d 89, 97 (Fla. 1st DCA 2021); *Sousa v. Zuni Transp., Inc.*, 286 So. 3d 820, 822 (Fla. 3d DCA 2019); *Trainor v. PNC Bank, Nat'l Ass'n*, 211 So. 3d 366, 368 (Fla. 5th DCA 2017). Citing to a decision of the Third District for support, at least one opinion issued by this court has ostensibly adopted that proposition and relied upon it to conclude that the court would not "decide . . . for the first time on appeal" an issue that had not been raised "below or on appeal." *See Fredrick v. Dolgencorp, LLC*, 304 So. 3d 36, 39 (Fla. 2d DCA 2020) (citing *Sousa*, 286 So. 3d at 822)). The apparent history of the proposition indicates that it originated in *Agudo, Pineiro & Kates, P.A. v. Harbert Constr. Co.*, 476 So. 2d 1311, 1315 n.3 (Fla. 3d DCA 1985), in which the Third District reasoned that "as *Loranger v. State, Department of Transportation*, 448 So. 2d 1036, 1039 (Fla. 4th DCA 1983) makes clear, the 'right for the wrong reason' appellate maxim does not apply in summary judgment proceedings where the issue was never raised in the motion for summary judgment." However, the Third District's decision and the authority upon which it relied seem at odds with a later-decided opinion of the Florida Supreme Court. *See Radio Station WQBA*, 731 So. 2d at 644. Referring to an argument not included in the appellee's summary judgment motion but rather asserted for the first time in a posttrial motion, the supreme court opined that a trial court's judgment "will be upheld if there is any basis which would support the judgment in the record" and "that the appellee can present any argument supported by the record *even if not expressly asserted in the lower court.*" *Id.* at 645 (emphasis added) ("[A]n appellee need not raise and preserve alternative grounds for the lower court's judgment in order to assert them in defense when the appellant attacks the judgment on appeal." (citing *MacNeill v. O'Neal*, 238 So. 2d 614, 615 (Fla. 1970)); *see also Seaside Town Council*, 347 So. 3d at 104 n.6 (Fla. 1st DCA 2021) (Tanenbaum, J., dissenting) ("The majority is of the view that the principle cannot apply here because SCDC did not raise justiciability in its motion filed with the trial court. This misses the mark. The supreme court has rejected the view that the alternative theory must have been asserted in the trial court (in essence, preserved) for the right-result-but-wrong-reasoning principle to apply on appeal." (citing *Radio Station WQBA*, 731 So. 2d at 644-45)). While an issue not raised in a motion for summary judgment might not allow for application of the tipsy coachman doctrine if it is not otherwise "supported by the record," *see id.* at 644, the categorical prohibition against applying the doctrine to grounds not raised in the motion for summary judgment is inconsistent with the supreme court's discussion of the tipsy coachman doctrine in *Radio Station WQBA*. Moreover, any analytical justification for such a categorical rule is not adequately elaborated by any of the recorded opinions that advance it, and the rule is not logically consonant with the tipsy coachman doctrine itself. The supreme court did not carve out summary judgment as an exception to the tipsy coachman rule, and it expressly authorized appellees to assert tipsy coachman grounds even if not asserted in the trial court, the only relevant inquiry being whether the record supports the alternative ground argued for affirmance. In this case, for example, although the asserted tipsy coachman grounds were not raised in the motion for summary judgment that precipitated this appeal, they were raised in a prior motion for summary judgment and developed in the record. And, as to both motions, the Friscos' civil remedy notice was before the trial court, even if the specific argument raised for its invalidity was different. For these reasons, the record is adequate to review those issues on their merits to determine whether they support an affirmance.

as it goes. State Farm points out that the Friscos failed to refer to the specific policy language relevant to the alleged bad faith violations. The Friscos did indeed omit reference to specific policy language, although this was a fraught topic given State Farm's alleged failure to timely provide a copy of the policy upon the Friscos' statutory request. *See* § 627.4137(1), Fla. Stat. (2018) (requiring an insurer to provide certain information within thirty days of a written request, including a "copy of the policy"). Thus, State Farm is correct that the Friscos failed to satisfy the explicit, plainly worded, statutory requirement to make "[r]eference to specific [*26] policy language that is relevant to the violation, if any." § 624.155(3)(b)4. And the Friscos do not refute State Farm's assertion that it eventually did provide a copy of the policy. The Friscos even represented in their civil remedy notice that they might supplement the notice upon receipt of the policy—but they never did. So the civil remedy notice was statutorily deficient in that regard because it did not include a reference to any specific policy language.

However, that deficiency only applies to *relevant* policy language. *See id.* (providing that the notice must include a "[r]eference to specific policy language that is *relevant* to the violation, *if any*" (emphasis added)). Thus, the deficiency would only foreclose bad faith claims to which relevant policy language was absent. As the statutory language indicates with the phrase "if any," not every bad faith claim will be premised on policy language. Indeed, some of the Friscos' bad faith theories are premised on violations to which no specific policy language is relevant and which therefore would not require an examination of policy language in order to assess the merits of the claim—as one example, State Farm's alleged failure "to acknowledge [*27] and act promptly upon communications with respect to claims." On the other hand, the failure to refer to relevant policy language was a deficiency as to some of the Friscos' other claims. Their civil remedy notice manifestly indicated that there *was* relevant policy language. The Friscos' notice twice asserted that State Farm's conduct violated the insurance policy—in the first instance that State Farm "failed to comply with the Loss Payment provision and others" and in the second instance that State Farm's conduct was "in violation of the Loss Settlement provision of the policy." But section 624.155 requires the insured to "state with specificity" the "specific policy *language* that is relevant to the violation," not to refer to an entire *provision* of the policy that is relevant to the violation. *See id.* (emphasis added). Thus, the Friscos' generic reference to the "Loss Payment provision" and "Loss Settlement provision" does not comply with the specificity requirements of the statute.

As to the relevant policy *language*, the Friscos' notice also asserted that they were "[u]nable to provide specific policy language as State Farm ha[d] failed to produce a certified copy of the policy based on a request [*28] for same pursuant to Fla. Stat. 627.4137, dated November 19, 2018." The record indicates that State Farm did not provide a copy of the policy until February 6, 2019, which was after the Friscos filed their civil remedy notice on January 24, 2019, and well after the thirty-day deadline provided in section 627.4137. *See* § 627.4137(1).⁴ While State Farm's tardy response cannot be condoned, it did not obviate the Friscos' express statutory obligation to "state with specificity" the "specific policy language that is relevant to the violation." § 624.155(3)(b)4; *see also Sanders v. City of Orlando*, 997 So. 2d 1089, 1095 (Fla. 2008) ("The word 'shall' is mandatory in nature." (citing *Fla. Bar. v. Trazenfeld*, 833 So. 2d

⁴ State Farm argues that section 627.4137 does not apply in this case because it "applies only to liability coverage, not first party property coverages." Even if State Farm is correct, State Farm treated the statute as applicable when it responded in writing and "disclosed" the policy and other information "[p]ursuant to [the Friscos'] request for information under Florida Statute 627.4137." And the point remains that although the Friscos asked State Farm for a copy of their policy and State Farm took over sixty days to provide it, the delay does not excuse the Friscos' failure to satisfy the express statutory requirement to include any policy language relevant to their claims in the civil remedy notice.

734, 738 (Fla. 2002)); *cf.* § 627.421(1) ("Subject to the insurer's requirement as to payment of premium, every policy shall be mailed, delivered, or electronically transmitted to the insured or to the person entitled thereto not later than 60 days after the effectuation of coverage."). Additionally, the statute expressly excepts *third party* claimants from stating the relevant policy language if the insurer has not provided a copy of the policy. *See* § 624.155(3)(b)4 ("If the person bringing the civil action is a third party claimant, she or he shall not be required to reference the specific policy language if the authorized insurer has not provided a copy of the policy to the third [*29] party claimant pursuant to written request."). The statutory language's explicit qualification of the exception as applying to third party claimants indicates that the exception does not apply to other classes of persons, such as first party claimants like the Friscos. *See Gabrij, LLC v. Hollywood E., LLC*, 304 So. 3d 346, 351 (Fla. 4th DCA 2020) ("Under the principle of statutory construction, *expressio unius est exclusio alterius*, 'also known as the negative-implication canon, 'the mention of one thing implies the exclusion of another.' " (quoting *Brown v. State*, 263 So. 3d 48, 51 (Fla. 4th DCA 2018))); *see also* Antonin Scalia & Bryan A. Garner, *Reading Law: The Interpretation of Legal Texts* 107 (2012) ("The doctrine properly applies only when . . . the thing specified . . . can be reasonably thought to be an expression of *all* that shares in the grant or prohibition involved."). To conclude otherwise would require the court to expand the statutory exception to apply beyond the circumstances authorized by the legislature. *Cf. N.W. v. State*, 767 So. 2d 446, 450 (Fla. 2000) ("In section 39.054(1) the legislature made it abundantly clear that it knows how to impose time restrictions upon dispositions of juveniles who have been adjudicated delinquent. Had the Florida Legislature intended the same time limitations to apply in cases when adjudication is withheld, it would [*30] and could have easily incorporated direct language to that effect"); *Vetter v. Dep't of Bus. & Pro. Reg., Elec. Contractors' Licensing Bd.*, 920 So. 2d 44, 48 (Fla. 2d DCA 2005) ("When the legislature wishes to disqualify certain persons from exercising a right or a duty, it knows how.").

Research has revealed no Florida appellate opinions that address whether the failure to include policy language that is relevant to a bad faith claim renders the civil remedy notice deficient as to other bad faith claims included in the notice but to which no policy language is relevant. The statute qualifies the requirement to refer to policy language, acknowledging by the phrase "if any" that some bad faith claims may not rely on policy language. It stands to reason that an insured cannot be foreclosed from bringing a bad faith claim to which no policy language is relevant even though the insured failed to refer to policy language relevant to *another* bad faith claim. While the latter claim might be barred, the former would not. Barring the former based on failure to cite policy language that has no relevance would defy logic and confound practical application of the statutory civil remedy notice provision under such circumstances. I therefore cannot conclude that State Farm's tipsy coachman argument supports [*31] an affirmance. However, on remand for further proceedings, the insurer should be permitted to seek summary judgment as to those claims for which any relevant policy language was omitted from the civil remedy notice based on the failure of the condition precedent mandated under the statute.

End of Document